A B Lifestyle (ABLBL)

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Aditya Birla Lifestyle Brands Limited

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Sub.: Transcript of Q1 FY 26 Earnings Call of the Company

Ref.: 1. Regulation 30 (read with Schedule III - Part A) , of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015
(“SEBI Listing Regulations”);
2. Our intimation dated June 24, 2025 and August 7, 2025 and August 12, 2025.

Dear Sir/ Madam,

Pursuant to the above referred, the transcript of the Q1 FY 26 Earnings Call held on August 14, 2025 is annexed herewith.

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e., www.ablbl.in .

Thanking you.

Sincerely,

For Aditya Birla Lifestyle Brands Limited

Rajeev Agrawal
Company Secretary & Compliance Officer
ACS18877

Encl.: As above

“Aditya Birla Lifestyle Brands Limited
Q1 FY '2 6 Earnings Conference Call ”
August 1 4, 202 5

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA LIFESTYLE BRANDS LIMITED
MR. VISHAK KUMAR – DEPUTY MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ADITYA BIRLA
LIFESTYLE BRANDS LIMITED
MR. DHARMENDRA LODHA – CHIEF FINANCIAL
OFFICER – ADITYA BIRLA LIFESTYLE BRANDS

Moderator: Ladies and gentlemen, good day . And welcome to first quarter earnings conference call of Aditya Birla Lifestyle Brands Limited. The call will begin with a brief discussion by the company's management on Q1 FY '26 performance followed by a question -and-answer session. We have with us today Mr. Ashish Dikshit , Managing Director, ABLBL ; Mr. Vishak Kumar , Deputy Managing Director and CEO, ABLBL ; Mr. Dharmendra Lodha , CFO, ABLBL. I want to like to thank the management team on behalf of the participants for taking valuable time to be with us.

I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance to strategic questions o nly. Housekeeping questions can be dealt separately with the IR team.

With this, I now hand the conference over to Mr. Dharmendra Lodha . Thank you , and over to you, sir.

Dharmendra Lodha : Thank you. Good afternoon, everyone. Welcome to the Q1 FY '26 earnings call for Aditya Birla Lifestyle Brands Limited. Thank you for joining us today. This quarter marks our first earnings announcement post-demerger as an independently listed entity with our results shared yesterday.

As of 1st May 2025, demerger is effective with a seamless transition across all fronts from front -end and back -end systems to employee records and operational processes.

All our point -of-sale or MBO outlets, e -commerce and retail stores are now fully integrated under Aditya Birla Lifestyle Brands Limited, ensuring business continuity and readiness for the next phase of growth. As we look back on the first quarter of this fiscal, the consumption environment remains sluggish with apparel market displaying selective pockets of growth, largely fueled by wedding season. Although broader industry sentiment remains cautious, ABLBL maintained its strong growth momentum. We posted a nother quarter of industry -leading, strong double -digit same -store sales growth across all our b randed portfolio over a large network of stores.

Coming to the financial performance for the quarter, ABLBL delivered a resilient performance this quarter. Lifestyle Brands grew at 6%, powered by 15% like -to-like growth in its retail channel, while the emerging businesses grew slower primarily due to clo sure of Forever 21. Our Absolute EBITDA was higher year -on-year at INR286 crore s versus INR283 crore s in quarter one last year, despite amplified investment in marketing. This resulted in a delivered EBITDA margin of 15.5% versus last year's 15.9%.

PAT came in at INR24 crore s, up by 5% year -on-year. Adjusted for the incremental ad spend, the P AT would have been INR54 crore s for the quarter. As we move towards the second half of the year, we expect the profitability to be even higher.

Our footprint extends across 3 200 plus stores, covering a total store retail area of 4.6 million square feet, an expansive network that allows us to fulfil the fashion needs in a diverse country like India, from large to small towns, from malls to high streets. Our distribution is a foundational pillar for our strategy that keeps us connected to our consumers across the country.

About the Lifestyle Brand , in quarter one, our brand sustained exceptional momentum, delivering an industry -leading retail like -to-like growth of 15% across a robust network of 2,900 plus stores, marking the fourth consecutive quarter of strong LTL performance. This quarter's 15% LTL growth was preceded by 9% and 12% LTL growth for Q3 and Q4 of FY '25, reflecting the underlying strength of the brand and high -quality retail execution.

Revenue for the quarter rose 6% year -on-year to INR1,570 crore

s, with an EBITDA margin of 17.9%. The portfolio expanded its footprint further with 40 -plus gross stores addition during the quarter by curating high -impact merchandise collection, executing compelling storytelling and running powerful marketing campaigns. We are not only strengthening brand equity but also deep ening consumer connections. These efforts position the business to capture sustained growth opportunities and reinforce its leadership w ell into the future.

Youth brand s and the Innerwear portfolio, which includes Reebok, American Eagle, and Van Heusen Innerwear , continued its strong and profitable growth trajectory in Q1. The portfolio delivered a robust 10% like-to-like growth, given by ongoing initiatives to enhance store productivity, strengthen product assortment and sharpen consumer engagement. The overall revenue of this segment was marginally impacted due to the closure of Forever 21 last year. Profitability improved meaningfully, with margins expanding by 170 bps year -on-year, reflecting operational efficiencies and a sharper focus on profitable growth levers. Youthwear and Innerwear segments remain a key contributor to ABLBL's growth ambitions, with ample headroom for expansion across channels.

To conclude, ABLBL today stands as India's most formidable premium Lifestyle Brand platform, anchored in decades of operational excellence, powered by a portfolio of iconic brands, driven by an innovation -led culture and supported by an exceptional talent base. These strengths uniquely position us to sustain our momentum, strengthen our leadership, and capture the abundant opportunities available across the western fashion and lifestyle landscape.

We are now well positioned to accelerate our growth trajectory driven by accelerated pace of store additions over the next three quarters. Alongside, we will also continue to strengthen our channels of distribution, building a comprehensive approach to reach consumers wherever they shop.

With the festival season arriving early this year, we are well -placed to capture consumer demand through compelling product stories, immersive retail experiences and strengthened presence, ensuring ABLBL continues to deliver profitable growth while deepeni ng its connection with consumers across the country.

We are open to questions now. Thank you.

Moderator: Thank you, Mr. Lodha . We will now begin the question -and-answer session. First question is from the line of Archana Menon from Morgan Stanley. Please go ahead.

Archana Menon: Hi. Thank you so much for the opportunity. My first question was on the channel mix. So, you like you mentioned in your analyst -- during the Analyst Day that incrementally a majority of

the growth will be led by the retail channel. But just wanted to understand w hen you're talking about double -digit growth for the next few years, how are you thinking about growth from the non-retail channel and specifically for the e -commerce, we've seen declining trends in the last three quarters. Do you think majority of the channel correction is now behind us?

Ashish Dikshit: Vishak, do you want to come in on this?

Vishak Kumar : Yes. Our growth for the quarter. Had it been outside of e -commerce, we would have had a 10% plus growth. You're absolutely right in pointing that out. So clearly a lot of our growth engine is built around retail, both retail expansion , as well as in -store growth. Having said that, all channels are important to us. We want to be there where consumers want us to be.

I think a large part of the corrections around e -commerce are more or less done. We expect not lot in the rest of the year, maybe a little bit more in Q2. But after that, we should be able to see a positive trajectory on e -commerce as well. It is a part of business where, like I've said earlier, we've had a need to do disc

ount correction, etc etera , to bring the profitability profile right on track. I think we are moving in that direction, Archana. So we should see that. Having said that, for the longer term trajectory, definitely our biggest fuel for growth is going to be our own retail.

Archana Menon: Understand. Just following up on that, within the wholesale channel, what is the mix between department stores and M BOs?

Vishak Kumar: So it’s -- I'm sure we can give you numbers separately, but more like 60 -40 perhaps. But I can give you exact numbers. We have a fairly robust trade business as well and that also continues to grow quite steadily.

Archana Menon: Understood. My second question was more on the marketing spend. So for FY ‘ 25, your marketing spend was around 3.3% of revenue. This quarter, it seems higher at around 5.5%. So how are you thinking of marketing going ahead?

Vishak Kumar: So, that -- there is also a very large media event which gets created in the first quarter, which is around IPL. And w e took on the position of an associate sponsor, which gave us significant gains in terms of brand equity, brand visibility, etc etera . But , yes, it does come with a significant outlay in one -- just one quarter. So it is something we consciously went into and we did that.

And the results are there to see in terms of same -store growth. It also shows in the brand tracks that we do in terms of brand salience. So that was important for us. We will continue to be a group of brands which will invest significantly in advertising. We have to constantly find ways by which we stay relevant to consumers and communicate the latest stories, innovations, etcetera . So that will be a part of what we do.

Archana Menon: Understood. So, Vishal, is this more of a timing issue? And for the full year we should -- should we still be around that ballpark 3 %, 3.5% sort of level?

Vishak Kumar: Yes. Yes. It won't be as dramatic a shift as we saw in Q1. While we do want to spend a little more on advertising, it won't be as dramatic as you saw in Q1.

Archana Menon: Got it. And last question for me was on the store addition . I'm very happy to see the comment in the PPT that going ahead we should start seeing some store editions coming in on a quarter -on-quarter basis. But when you look at the longer term, the 250 store addition target for the year, how are you thinking of that between the Lifestyle Brand and say a Reebok?
Vishak Kumar: Okay. Happy to say that I've just cut one ribbon at our new small town store of Reeboks today in Gaya, in Bodh Gaya. So that piece has also started. I think it is going to be across the portfolio, Archana. I think we want to have -- there are market opportunities. Even as I was roaming through the streets in Gaya, I realized that we could have at least two more stores for our brands in this market.
We have only four stores in this market. So I think there is going to be expansion across brands. So it is not just going to be Louis Philippe, Van Heusen, Allen Solly and Peter England . There is opportunity. A lot of -- we have catching up to do in Reebok. We will keep scaling up across brand formats, Archana.
Archana Menon: Got it. Thank you for taking my question.
Vishak Kumar: Thanks, Archana.
Moderator: Thank you. Next question is from the line of Gaurav Jogani from JM Financial . Please proceed.
Gaurav Jogani : Hi, sir. Thank you for taking my question. So my question is with regards to this LTL. You have mentioned that the LTL has been strong at around 15%. And however, the net revenue growth is 6%. So I am assuming a lot of this is also to do with a lot of store closures that have happened. Would that be a right understanding?
Ashish Dikshit: No, Gaurav. I think on a network of 3,000 odd crores, incremental small store changes don't make a difference. So that

is negligible. This LTL is indicative of the strength of the overall network , because 40, 50 stores here and there don't change anything on a 300 -- 3,000 store network. So remember the base on which we are talking about. And therefore, store closures have practically no impact on delivered L TL of 3,000 store network.
Gaurav Jogani: Also, sir, pardon my ignorance, but the retail LTL is at 15%. However, if you look at the total growth for the retail format is 12%. So just wanted to reconcile this difference.
Ashish Dikshit: Yes. Yes . So that's a function of the store closures that have happened over last 12 months, which is in the Q1 of this one and Q1 of this year. So that's a nine -month incremental. So not about this quarter's closure, but that's about 12 -month store closures.
Gaurav Jogani: Okay. Okay. Sir, my next question is with regards to the losses now in the other parts of the business, that is the Youthwear brand and Innerwear . I mean, I understand that there has been a drag of Forever 21 last year, which should not be there this year, which would incrementally help us to improve the profitability. But how are we tracking on the plans of profitability improvement in the Innerwear piece of the business, as well as the Reebok side?

Ashish Dikshit: So I think I'll keep it simple. Innerwear losses were not substantive, but then this quarter they have reduced further. It's half of what we had last year. So it's coming into a very manageable trajectory now.
Gaurav Jogani: Okay. So , can we expect Innerwear to at least break even this year or would that be FY ‘27?
Ashish Dikshit: On a full year basis, you're asking? Full year basis will be FY ‘27.
Gaurav Jogani: Yes. The full year.
Ashish Dikshit: That'll be FY ‘27.
Gaurav Jogani: ‘27. Okay. Okay. And sir, lastly, I mean, given that, this time around the festivities are a bit earlier in Q2. So do you expect Q2 to start gaining that momentum of revenue that you were expecting? And from there on, do you expect this to sustain going ahead? Are you seeing any green shoots in terms of demand pickups? Anything that you would like to comment ?
Ashish Dikshit: So I think if you look at , Gaurav, the momentum that the business had, and Dharmendra in his opening remarks talked about , this is a third quarter, which is nine months of 12%, 9% and 15% growth rate over 3000 store network on a like -to-like basis. I would say both, it reflects the strength of the brand, but also improving fundamentals that we are beginning to see. I don't want to comment too early on what the rest of the season will be. We have seen these things shift over a period of time. But at this stage, we feel quite optimistic about as we walk into Q2 with this kind of momentum that the business is showing.
Gaurav Jogani: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Kunal Shah from Jefferies . Please proceed.

Kunal Shah: Hi. Thank you for the opportunity. My question is on your channels other than retail. So over the last year and a half, you've done quite a bit of consolidation, closing some non -profitable accounts. There have been some external factors as well, which has shrunk this revenue pool. Can we say that most of it across all these channels is now behind and this revenue run rate, which you see today, should sustain and improve from here on? Or there are still more accounts or areas where you would look to consoli date going forward as well?
Ashish Dikshit: I think , Vishak had said in Kunal in the answer to the first question . I think most of it is bottomed out in retail, in wholesale and e -commerce. Vishak, you want to add any further than what you've said before?
Vishak Kumar: No. Absolutely. I think, Kunal, most of the network correction in department stores is done. Okay. There will always be ad

dition, deletion, fine tuning, but the heavy lifting is done, Kunal.
Kunal Shah: Understood. Understood. Yes. My second question is on the other brands ' piece. So what would be the growth like, let's say, this quarter, if you were to take out the fast fashion business from the base, if you can give some sense? And if you can give some color on, let's say, individual pieces and how have they done from a top line standpoint?

Ashish Dikshit: So, marginal growth, not very strong growth in Innerwear. Reebok obviously has a stronger like -to-like growth, but overall growth in Reebok is also very small. So, combined together, this quarter, the new business haven't contributed as much to the overall growth.
Vishak Kumar: Yes. Kunal, I would just add that in a brand like Reebok, it's also a significantly primary sale -driven number reporting. So there will be these ups and downs. It had a 9% like -for-like, which again tells you that the overall business was good, but there has been -- some of the impacts are on primary business, which is what has led to the lower growth in Reebok.
Kunal Shah: Understood. Understood. That's clear. And my final bit was just a bookkeeping one. If I remember correctly, capex for this year would have, I mean, your guidance earlier was around INR200 crores, INR 250 crores. That stays, right? There's no change to that number?
Ashish Dikshit: Yes. That stays. That stays.
Kunal Shah: Understood. Thank you. Thank you for that.
Moderator: Thank you. Next question is from the line of Devanshu Bansal from Emkay Global . Please go ahead.
Devanshu Bansal : Hi. Thanks for the opportunity. Our FY25 debt was closer to INR700 crores, so wanted to check what is the level at the moment.
Moderator: Sorry to interrupt, Mr. Devanshu, your voice is breaking.
Devanshu Bansal: So our FY ’25 when debt level was around INR700 crores. I wanted to check what is the level as of Q1 end?
Ashish Dikshit: So our debt went up by about INR200 crores as we build up inventory in this quarter for festive period. So that's up by about INR200 crores end of this quarter, over March period.
Devanshu Bansal: So then, Ashish, do you see this panning out towards what is the level expected by FY ’26 end?
Ashish Dikshit: I don't think we've given an exact number, but we expect between INR200 crores to INR300 crore s reduction each year. And that's why we had indicated an overall debt -free status in two and a half years to three years.
Devanshu Bansal: Okay. So that should ideally happen this year as well, right?
Ashish Dikshit: Yes.
Devanshu Bansal: Yes. Okay. And second question, Vishak, you indicated direction is largely done in the whole sale channel .
Vishak Kumar: Yes.
Devanshu Bansal: I wanted to take ...
Moderator: Sorry, Mr. Devanshu, your voice is breaking in between, sir.

Devanshu Bansal: Maybe I'll join back …
Moderator: Yes. Your voice is not clear, sir.
Devanshu Bansal: Okay. Yes. Thank you. Go ahead.
Moderator: Okay. Yes. Thank you. Next question is from the line of Preeyam from Antique Stock Broking . Please go ahead.
Preeyam: Yes. Hi, sir. I just wanted to check, in your opening comment, you mentioned that you'll be growing to double -digit for the next few years.
Ashish Dikshit: I didn't get the question. What is it?

Preeyam: Sir, you said, I think , I missed on the initial part of your comment. I think you said -- you mentioned that the double -digit growth for the next two years.
Ashish Dikshit: So in our analyst meet is what you're referring to. We did indicate …
Preeyam: Okay. Yes.
Ashish Dikshit: Yes. Yes. We did indicate double -digit growth for a Lifestyle Brands portfolio. For the other businesses, the growth will be slightly higher , of course, i

n double -digit itself, but slightly higher
double -digits.
Preeyam: Okay. S ir, actually, I will be covering this part of the business for the first time. It would be great if you can provide the annual financial numbers for the two years, past two years, FY ‘24- ‘25.
Is it possible? Balance sheet…
Ashish Dikshit: I think we will connect -- maybe after the call, you can connect with either Dharmendra or Amit and go through that. Yes.
Preeyam: Yes. Thank you.
Moderator: Thank you. Next question is from the line of Sameer Gupta from India Infoline . Please proceed.
Sameer Gupta: Hi. Hi. Good evening. Good afternoon, sir. Thanks for taking my question. Specifically, sir, firstly, on Innerwear and athleisure . This quarter, I heard you mentioned to , Kunal, this has been a marginal growth. Jockey has also struggled with low growth, whereas the mass -end brands, that if I look at Dollar and Lux, they have reported pretty good numbers around 10% -- 12% and 19% growth.
So I just wanted to understand, is this a highly competitive space where the competition has increased further, people are down trading? What exactly is going on? Because Innerwear as a space has been, there was an expectation that now athleisure has bottomed out and now it is poised for growth, but we are not seeing that happen.

Ashish Dikshit: No. You are right. I think we were also expecting growth to come back a bit faster. I would not at this point assume a very heavy down trading or something because the premium end of the market is actually only now sort of surfacing and growing. I do expect at this point of time, we expect the growth to come back sooner than that, although it was lower than our expectation in this quarter.
Sameer Gupta: And any specific comments on the ground, what is going on? As in -- are you losing shelf space? Is it just a footfall issue , because…
Ashish Dikshit: No. I…
Sameer Gupta: Pronounced.
Ashish Dikshit: I do not really think anything materially different is happening right now. We will, of course, keep a track over a longer period of time and come back if there is a greater sense of anything that causes concern. I honestly do not believe at this point of time there is anything to be structurally worried about.
Sameer Gupta: Got it . Got it. That helps. Second, on Reebok, again, you mentioned how primary is pulling it down, but if you can just help me out with the channel mix here. Apologies if you have given it earlier. I may have not noted it down, but how much would be retail, online, wholesale, any other channel that you operate here?
Ashish Dikshit: Okay. So, typically, I will give you rough percentages. A retail channel is close to about 50%, which includes all forms of retail, direct retail, which large part is primary. There is small direct secondary retail, which is the concession or consignment retail, and there is outlet retail.
Together, they form about half of the business. The wholesale channel, which includes trade and department store, is about 10% to 15%. E-commerce is about 20% to 25% and there is a small institutional busi ness. So, that is really the breakup of channel on an annual basis.
Sameer Gupta: Sir, when you say the primary portion, basically, it is your franchisee -owned EBOs to which you sell similar to what you do …
Ashish Dikshit: Yes.
Sameer Gupta: In some part of your Lifestyle business.
Ashish Dikshit: Yes. Yes. So, Lifestyle Brands , no, no. Just to clarify, Lifestyle Brands don't have a retail, which is wholesale retail, where we build a franchise. Lifestyle Brands , entire retail business is consignment retail, which means we build directly to consumer, even if the store is invested by a franchisee. Unlike that, Reebok, because that is the way we inherited the business, 60% of retail is built to a franchise, and therefore,

Reebok business has more of this quarterly aberrations
because of primary and secondary.
Sameer Gupta: Got it. Got it. But if you were to give me a number on the end consumer sale, I am sure you would be tracking that.

Ashish Dikshit: What -- which is what Vishak was trying to…

Sameer Gupta: About 9%.
Ashish Dikshit: That's right. About 9% like -for-like. Yes.
Sameer Gupta: Okay. Okay. Got it. S ir, just a thought here on Reebok. I mean, it's around INR500 crores, and when you had inherited it two years back, there was an expectation of accelerating the CBO footprint. If I remember correctly, you inherited it with 120 stores, currently at 170 stores. So, we haven't seen a takeoff here and there is no pro fitability issue. So, what's holding it back?
Ashish Dikshit: So, it was a difficult transition, Vishak , maybe you can throw a little bit of color on the network that we sort of inherited …
Vishak Kumar: Yes.
Ashish Dikshit: And what you did. Maybe you can talk a little bit about that. Yes.
Vishak Kumar: So, I mean, first of all, we got 90, not 120 , okay.
Sameer Gupta: Sorry.
Vishak Kumar: And even in that, there were many which needed a lot of corrections, etc etera , some which we had to take over. So, there was a negative of the primary sale and we had to take it over. So, we went through a lot of transitions like that, and various channels, a lot of repair work had to be done. So, it's been a gradual transition.
As we speak, we are at 180 plus. So, we were about INR200 crores and we were 90 stores. So, we are now close to INR500 crores and we are about 180 stores, which is double the network. And I think we have another pipeline which is also fairly strong. My sense is it's on a fairly steady wicket and it will continue to grow fairly robustly for some years to come.
Ashish Dikshit: I think in summary, transition, we lost both time, network, and some of the challenges that business was facing at that stage. So, almost a year, year and a half, we took to both clean up the network inventory and some of the operating model issues. So, wh at you're seeing now is a rapid growth of the business. I mean, despite all that, as Vishak said, we've grown by 2.5 times in this and will continue to grow.
Vishak Kumar: I also want to add that we had a fair speed breaker through BIS also, which we had to surmount. And we got past that with all the BIS licenses, which were required for various factories, etcetera . So, yes, I mean, it's been a lot of those challenges that we've been through. But if you see the kind of product, if you see the kind of stores and the consumer experience, etcetera , I think , we're on to a fairly good thing.
Sameer Gupta: Got it. And sir, I'm sorry if I missed this, but what are our targets here?
Ashish Dikshit: So, a longer term in our investor presentation that we had talked about in a meeting a couple of months back, we had looked to grow at in excess of 20% as far as this part of the portfolio is concerned.

Sameer Gupta: And just one last on this. S ir, do we plan to correct this channel mix? Because traditionally, we have always been a consignment model. And here …
Ashish Dikshit: Yes.
Sameer Gupta: We are billing to franchisees. So, do we want to correct this going forward? Is it a legacy?
Ashish Dikshit: Vishak, do you want to talk. Go Ahead.
Vishak Kumar: Yes. So Sameer, it's not a zero or one. We have very deep partner relationships with many of the franchises whom we inherited. And they are fairly comfortable in this method of operation. Having said that, we've also parallelly opened many other stores which are con signment stores also. We must respect some of the franchises who had a lot of skin in the game in the way they buy, the way

they are sought for their stores, etcetera So, that is something which continues.
Many of the new stores we' ve opened have been on consignment as well.
Sameer Gupta: Okay. I mean, it's not a bottleneck, right? I mean, having two, three different models, it just increases complexity. That is not a problem, right?
Vishak Kumar: Not really, because it's the same replenishment system. We have a fairly advanced methodology for replenishment, etcetera . But we do have a lot of knowledge which resides in these franchises when it comes to buying for seasons, etcetera , which we do want to tap into.
Sameer Gupta: But you still don't have control on inventory and there could be discounting which affects your brand in some ways.
Vishak Kumar: No. No. End consumer pricing is completely decided by the company. It's across channels, across stores, across networks. It's one pricing. It's complete parity across that.

Sameer Gupta: Got it. That's super helpful. Thanks again …
Vishak Kumar: Yes.
Sameer Gupta: For taking all my questions. Come back in the queue for any follow -ups here.
Vishak Kumar: Thanks, Sameer. Thanks.
Moderator: Thank you. Next question is from the line of Niharika Karnani from CapGrow Capital . Please proceed.
Niharika Karnani: Yes. Hi. So, I have a couple of questions here. First is, now since the cash won't be going to the other segment of the business, which was getting invested into ABFRL pre-demerger . How do we plan to use the cash apart from debt retirement? And second question, s ir, if we see Lifestyle Brands are growing at a stable rate of 9%, 10%, 11%, so would it be correct to say that the revenue growth drivers would be the other segment of business, say, American Eagle, Reebok, and Innerwear ? If so, w hen would we see them contributing meaningfully to the growth?

Ashish Dikshit: So, Niharika, I think , I answer to your first question. You're right. The cash generated by this business in the past has -- was used to actually kick start or acquire multiple new businesses. And the whole purpose of demerger was actually to need the cash for this business to grow faster. So, the first use of cash would be to accelerate the growth in the businesses that we have. And that's not just about new businesses like Innerwear , Reebok, even the Lifestyle Brands business have a large growth opportunity. And initially, therefore, you would have heard the previous question, the investments in capex , particularly in retail, will be higher to accelerate the growth. Only the subsequent part will go towards debt reduction.
Also, to your question about how will the growth rate pan out ? I think Lifestyle Brands are showing very robust, intrinsic and organic growth with double -digit like -to-like over a sustained period of time. We will, therefore, multiply that by increasing network more rapidly than what we have done in the last one year or two years. Obviously, the smaller businesses have a smaller base, and therefore, in percentage terms, they will grow faster. We expect the newer business to grow anything between 18 % to 20 %, while Lifestyle Brands business will grow in early double digits.
Niharika Karnani: Understood. And my next question is, we know that marketing spends went up this quarter, but is there any other expenses? Because we can see other expenses have shot up in this quarter. Apart from ad expenses, do we see increase in expense of other line items?
Ashish Dikshit: I don't think materially it's anything dramatic that could have happened. We'll probably come back if…
Vishak Kumar: Yes. Non-shrinking depreciation, Ashish. Other than that, no other dramatic change.
Ashish Dikshit: So, I don’t -- I think you're talking about other expense line items. So, we'll look at it. I don't think there is anything exceptional.
Niharika Karnani: O

kay. Okay. Thank you so much.
Ashish Dikshit: Thanks, Niharika .
Moderator: Thank you. Before we move to the next question, a reminder to the participants, to ask a question, you may press star and one. Next question is from the line of Varun Singh from Alfa Accurate Advisors . Please go ahead.
Varun Singh : Thank you. S ir, my first question is, how do you define like -to-like revenue growth? What is it that you count for this growth calculation?
Ashish Dikshit: Stores opened this year i.e. FY26 are new stores; Stores opened last year i.e. FY25 are annualized stores; LTL stores are those stores that opened on or before 31st Mar 2024 for FY26 LTL stores .
Varun Singh: So, in the PPT 3,230 brand stores, you consider, I mean, this is the store that you count for that computation?
Ashish Dikshit: Of this 3 ,200, roughly about…

Varun Singh: It should be the EB O.
Ashish Dikshit: Yes. Yes. Of this 3 ,200 EB O, what we count is, we leave out the stores which may have, let's say, opened this year, but were not present last year. Also leave out stores that opened in FY25. We consider stores that opened on or before 31st Mar 2024 for FY26 LTL stores .
Varun Singh: Yes. Yes. Of course.
Ashish Dikshit: We also leave out the stores which were there last year, but are not there this year. So, about 8% to 10% of stores will be falling in these two -three buckets which go out. But most of the network is part of LTL bucket (~90% of total)

Varun Singh: Hello? Hello? Yes. Yes. I can hear you now.
Ashish Dikshit: Okay. So, did you get the answer?
Varun Singh: No. No. So, in that context, when you say 3 ,230 brand stores, so the count, for example, is in one store, there are two brands. The count is two or is that just one?
Ashish Dikshit: Sorry, I didn't understand.
Vishak Kumar: One store is one brand.
Varun Singh: One store is one brand.
Ashish Dikshit: So, I think it will be about 3 ,000 odd stores.
Varun Singh: Sure.
Ashish Dikshit: This is cumulative of all brands, individual stores put together is 3 ,230.
Varun Singh: Okay . Understood . So, and when you say 4.6 million square feet footprint, so this is the cumulative footprint of all the 3 ,230 exclusive brand stores of all brands individually. My understanding is correct.
Ashish Dikshit: Yes. That's right.
Varun Singh: All right . Understood . So, and my second question is, s ir, what is the guardrail that you are using to plan retail area expansion? So, I mean, how are you thinking about expanding the footprint, which is 4.6 million square feet as on today? And the second order question is, how do you maybe discriminate between the area expansion, for example, which brand you prefer and how to allocate the capital between all the perspective brands that we have as on today?
Ashish Dikshit: So, I think first question, we do have, as a business, enough cash generation to be able to afford entire expansion for all the brands. Having said that, a significant part of our retail expansion comes through franchising, which doesn't require our capita l. So, capital allocation question is not very relevant in context of this portfolio of the brands in this company.

The second qu estion is each brand has a long -term strategy in line with where its consumers are, where its current presence is , and there is a plan that is laid out and we individually look at it at the beginning of the year , the land is -- and each of the brand puts together that plan, which is run by a common central team, which does the store acquisition.
Varun Singh: Sure. Understood. Thank you very much and wish you all the best .
Ashish Dikshit: Thank you.
Moderator: Thank you. Ladies and gentlemen, request you to please be more strategic , please

ask the
question related to strategy and housekeeping question could be handled by IR team. Next question is from the line of Akhil Lukose from Flipkart . Please go ahead.
Akhil Lukose: Hi. Thank you for taking my question. Mr. Vishak, could you please quantify or add some color on the impact of Forever 21 towards the negative growth of Youth brands and Innerw ear brands?
Ashish Dikshit: We don't give exact numbers at the brand level. But it was a brand which was meaningfully small at that point of time also last year. The total revenue difference is not material in the overall scheme of things.
Akhil Lukose: If you could also mention what factors are leading to a negative growth in these brands' portfolio?
Ashish Dikshit: So there is a small base. Vishak explained about the primary billing to secondary billing as far as the Reebok business was concerned. In nerwear also we discussed. These are two large constituents. Yes, s o primary reason for the slow growth in this segment was the difference between primary and secondary billing in Reebok .
Akhil Lukose: Got it. Got it. Thank you. No further questions.
Moderator: Thank you. Next question is from the line of Sameer Gupta from India Infoline . Please proceed.
Sameer Gupta: Hi, sir. Just wanted some bookkeeping questions. I noticed that we still have a large working capital in this business for FY ‘25 , which is around INR5,500 crores, if I look at just the inventory receivable and creditors. So, s orry, not INR5,500 crores , my mistake. It's around INR1,300 crores, which is sizable.
And traditionally, before the merger -demerger happened, we used to be a very light working capital business in which most of the inventory was taken over offset by creditors. So, first, can we revert back to that original or that lower lean working capital kind of a model or the current revenue doesn't allow to go back there?
Ashish Dikshit: No. So , first of all, let me reassure you that there's not been any big shift from our past trajectory. This is a very steady business , and therefore, what you were probably seeing was the combined businesses across the portfolio. And when you pull out, this business has been pretty stable in that sense. The net working capital turn at different points and it keeps changing during the course of the year, has been ranging between 13%, 14% to 15%, 16%, 17%, depending on which quarter you're lo oking at and that's been the range that we've been operating.

Sameer Gupta: So my question is a little on the future also. So what kind of working capital cycle do we expect for this business now and the path to it?
Ashish Dikshit: So, as I said, this business has been very stable in the shape of the business and nature of the business. And therefore, the working capital cycle, which is between 13% to 15% is where we will mostly operate. It will obviously continue to improve over a peri od of time as some of the smaller businesses start to scale up a little bit more, because those businesses currently, because of lack of scale, don't have the same time of capital productivity and inventory turns that our larger businesses have.
So it will continue to improve as we go forward, as smaller businesses get the productivity of some of the larger businesses. But it would rema in in the range of early double -digit net working capital as % of sales .
Sameer Gupta: Got it. And what kind of capex you're expecting for the coming years and the use of that capex ? Because I understand that a large part of the network expansion is on franchisee books. So we should be typically a very capex light model.
Ashish Dikshit: So there is once in a while -- so we have three uses of capex . One is obviously the retail capex , because as we expand network more aggressively, our own direct capex will start to grow a little bit hi

gher as a bearish ratio. We had indicated around INR250 crore s of annual capex and that's the number that we'll stay with. At this point of time, it will consist of retail capex . There is capex that the brands put in department store or shopping shops wherever they create that presence.
Once in a while, like we have currently completed, we have a factory operation, which I don't see in next two years , two and a half years. But once in three years , four years, there is a small bit of manufacturing increase and little bit of manufacturing sort of refurbishment that comes in. And some part of capex , not very small, but some part of the capex also goes in refurbishment of stores. So mostly in retail, either opening new stores or refurbishment, but a small path towards warehouse infrastructure, little bit in manufacturing, and as we're going forward, little bit in technology.
Sameer Gupta: Got it. That’s all for me. Thanks a lot.
Moderator: Thank you. Next question is from the line of Devanshu Bansal from Emkay Global . Please go ahead.
Devanshu Bansal : Hi, sir. Sorry for the disturbance earlier. I wanted to check out of the four brands, Allen Solly and Peter England stand higher in terms of consumer top of the mind, while the other two , Van Heusen and Louis Philippe sort of rank relatively lower. So wanted to check which brands are going to drive the next level of growth for us. That's point number one. And secondly, what are we doing to sort of improve the brand recognition for the other two players , sorry, for the other two brands? That's the point numb er two.
Ashish Dikshit: Vishak , do you want to comment ?

Vishak Kumar: Yes. Sure. Devanshu , welcome back. First of all, in a business like ours, each brand is precious and we will do whatever it takes to keep growing each brand. Yes, you're right , Allen Solly has a very high top of mind record, so does Peter England. Peter England also, as you know, has a wider base of consumers. It sells more volumes than any other brand in the country. So it has that.
Needless to say, if you ask this question of any of our brands, we would go full pelt in terms of whatever it takes to keep making the brand stronger and that is something we'll keep doing. Multiple agendas towards that. Beyond advertising, there is also a retail footprint. There is also, of course, I think, great quality products, memorable campaigns, memorable innovations, all of which are to make the brand more salient.
And specifically in brands like Van Heusen , there is also a very large growth opportunity in women's wear, like it is in Allen Solly , where women's wear and kids wear are in addition to the men's business, also driving growth for that business.
So Devanshu , frankly, it's a question where in each of the brands, if you were to take part in those conversations, they would be doing whatever they can to maximize that. I think each of these brands comes with a lot of headroom for growth. And part of that is also to keep building that brand Devanshu .
Devanshu Bansal: Understood. Sir, so just a small follow up here. So whatever we are learning now, because of the penetration of e -commerce that has happened, plus social marketing platforms that are there,

the mode that was there around brand , as well as distribution, right? So that is sort of reducing day-by-day. And product is actually becoming the key. So I just wanted to understand, do we also agree here and what are the initiatives that we're taking to sort of remain or maybe gain more recognition in terms of the product that we offer?

Vishak Kumar: So Devanshu , the best way to answer this would be to take you to some of our stores. I think the kind of products that, the best way to measure this is consumer scores. As you know, we do a net promoter score, both during the time of the shop

ping , as well as one month after they finish shopping and we measure their scores. That net promoter score, we have a program called Mission Happiness, has been steadily rising. They have best in class numbers on that, both on product quality, on fashionab ility, on desire to recommend the brand again.

So these are things which are very critical for us. There is an entire innovat ion pipeline which runs quarter -by-quarter. Every brand presents their range. Part of that range plan is innovation plan in that brand. So I think this is absolutely with the nail. It is vital for each brand to stay relevant to consumers that you keep doing all these innovative things to connect with consumers. And I assure you that that is highest on the product and design team's agendas in our organization.

Devanshu Bansal: Very encouraging to hear this, Visha k. Thanks for taking my question.

Moderator: Thank you. Next question is from the line of Rajiv Bharati from Nuvama . Please go ahead.

Rajiv Bharati : Good afternoon, sir. Thanks for the opportunity. Sir, I -- sorry if I've missed this. On the e -commerce side, this is in particular a deliberate strategy, or this is just accounting thing which is 19% lower , because when we see one of the competition in similar category, they have been growing this piece very aggressively. So can you comment on that?

Ashish Dikshit: Visha k, can you take this?

Vishak Kumar: Yes. Sure. So, Rajiv, no, the number is real. It's not an accounting thing. It's real. And I've said this a couple of quarters back as well, that we want to correct our shape of business in terms of discount profile in various channels, especially e -commerce. So we took that correction and I think it has played out. And like I was telling earlier to Archana, it has played out to a fair extent. So we should now start seeing numbers getting back to positive over the next few quarters. But it is something, it's not an accounting thing. It is real, Rajiv.

Rajiv Bharati: So this does not reflect in your -- in the gross margin profile substantially, is it? Because the overall gross margin is up 100 bps. So what proportion of this is also because of, let's say, footwear picking up materially Y -o-Y versus this e -commerce dipping?

Ashish Dikshit: So, Vishak, I'll just answer. The gross margin …

Rajiv Bharati: Yes.

Ashish Dikshit: The gross margin is a mix of multiple channels and the sales accounting of different channels. So for example, wholesale, we recognize revenue at the price we sell to the partner, while retail it is at the consumer price. So gross margin as a singular measure may keep moving more by, of course, it's affected by discounting that Vishak was referring to, which we were trying to control, but it's also equally affected by the share of various channels in this. So as a singular measure, don't hold on to that one measure as a n outcome of this.

I think the larger point in e -commerce is that , we are conscious that our customers buy large full price for most part of the year across a large network of 3 ,000 stores and many 1 ,000 department store outlets and many retail outlets. Our pricing should give consumers comfort that it doesn't matter where they are buying the product, the pricing will remain same.

Some channels have more old merchandise, so that's fair to get discount on that. But as far as the new merchandise is concerned, maintaining price parity is important. And to that extent, we have to reduce the share of discounting that some of the discount led channels do. And that's leading to some of the revenue losses and the base has got shifted to that extent in e -commerce to some extent.

Rajiv Bharati: So just one last thing to Sameer 's question on the billing on the consignment side versus directly billing to the franchisee. Have you -- I mean, barri

ng the Reebok portfolio, have we -- do we -- is it a big portion of your …

Ashish Dikshit: No.

Rajiv Bharati: Channel mix…

Ashish Dikshit: No.
Rajiv Bharati: And other brands?
Ashish Dikshit: No. No. Outside Reebok, our primary model to go -to-market is to keep inventory in our books, recognize revenue when it's sold to consumers. And even if they're franchisees, they invest in capex and they manage store operations, but the inventory is managed by us. That's our primary model.
Vishak Kumar: So a small part in Peter England also, but ye s, other than that, everything Ashish said. Ye s.
Rajiv Bharati: Sure. Thanks, sir, and all the best.
Moderator: Thank you. Participants are requested to only ask strategic questions. Housekeeping questions can be handled with IR team. Next question is from the line of Chintan Mehta from Puniska Family Office . Please go ahead.
Chintan Mehta: Sir, I have a question regarding depreciation. We are charging close to INR700 crores, INR 800 crore s yearly depreciation. I just wanted a break up or something like how much is for the brand charging and the rest of the furniture and other equipment?
Ashish Dikshit: So the actual depreciation, ye s, it is something to do with the ind AS. All the stores, the long - term leases, I have to record this as the owned stores and I have to provide depreciation on that. So the real depreciation is not much, but because of this ind AS impact, it is coming a very high number.
Chintan Mehta: So all of that is INDAS related?
Ashish Dikshit: The actual rent payout is separate, which is reflected in the cas h flow. If you see my annual balance sheet, there you will find the numbers.
Chintan Mehta: Okay, sir. I will get back with the IR team on the number. Thank you.
Ashish Dikshit: Yes. Yes.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of the management, we thank all participants for joining. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi . You may now disconnect your lines. Thank you.

Call: Nov 2025

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November 11, 202 5
BSE Limited
Scrip code: 544403 National Stock Exchange of India Limited
Symbol: ABLBL
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ub.: Transcript of Q 2 FY 26 Earnings Call of the Company
Ref
.: 1. Regulation 30 (read with Schedule III - Part A) , of the Securities and Exchange Board of
India (Listing Obligations and Disclosure Requirements) Regulations, 2015
("SEBI Listing Regulations ");
2. Our intimation dated October 30, 2025 and November 4, 2025.
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ear Sir/ Madam,
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ursuant to the above referred, the transcript of the Q 2 FY 26 Earnings Call held on
November 5, 2025 is annexed herewith .
T
he above details along with the audio recordings of the Earnings Call are also available on
the website of the Company i.e ., www.ablbl.in.
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Rajeev Agrawal
Company Secretary & Compliance Officer
ACS18877
Encl.: As above

"Aditya Birla Lifestyle Brands Limited
Q2 FY '2 6 Earnings Conference Call "
November 05, 202 5

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR –
ADITYA BIRLA LIFESTYLE BRANDS LIMITED
MR. VISHAK KUMAR – DEPUTY MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ADITYA BIRLA
LIFESTYLE BRANDS LIMITED
MR. DHARMENDRA LODHA – CHIEF FINANCIAL
OFFICER – ADITYA BIRLA LIFESTYLE BRANDS
LIMITED

Aditya Birla Lifestyle Brands Limited
November 05 , 202 5

Moderator: Ladies and gentlemen, good day and welcome to the Second Quarter Earnings Conference Call of Aditya Birla Lifestyle Brands Limited. The call will begin with a brief discussion by the company's management on the Q2 FY26 performance followed by a question and answer session. We have with us today Mr. Ashish Di kshit, Managing Director ABLBL, Mr. Vishak Kumar, Deputy Managing Director and CEO ABLBL, Mr. Dharmendra Lodha, CFO ABLBL.
I want to thank the management team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed therefore in conjunction with the risk that the company faces.
Please restrict your questions to the quarter performance and to strategic questions only.
Housekeeping questions can be dealt separately with the IR team. With this, I hand the conference over to Mr. Dharmendra Lodha. Thank you. Over to you, Mr. Lodha.
Dharmendra Lodha: Thank you. Good afternoon, everyone. Thank you for joining us today. I would like to welcome you all to the Q2 FY26 earnings call for Aditya Birla Lifestyle Brands Limited. As we reflect on the quarter, the operating environment presented a mix of challenges and opportunities. The early onset of the Pu jo season provided a healthy boost to our positive demand.
However, the GST transition and localised issue in the East did moderate overall momentum to some extent. In this context, our team continued to drive focused execution, delivering yet another quarter of double -digit retail like -to-like growth for ABLBL. W ith all our brands performing strongly in this channel, this performance reflects the strength of our brand portfolio, the resilience of our business model, and the rigour of our execution, which are now translating into sustained profitable growth even i n the dynamic marketing environment.
Now moving to the financial performance of our business, ABLBL delivered a steady performance in this quarter, with revenue growing to 4% Y-o-Y to INR2,038 crore s, led by strong retail performance. Lifestyle Brands grew at 7% Y-o-Y, while Emerging Businesses segments saw a decline, mainly due to Forever 21 revenue in the base. While retail remained strong, other channels have now been calibrated to a more profitable base and are well positioned to deliver strong profitable growth in the coming quarters.
Consolidated EBITDA registered a healthy growth of 12%, given by top -line momentum in Lifestyle Brands and continued discipline in discounting and cost management, in a challenging market backdrop. In absolute terms, EBITDA stood at INR338 crore s compared to INR301 crore s in the same quarter last year.
EBITDA margin expanded by 125 bps, moving up from 15.3% Y-o-Y to INR25 crore s, to 16.6% Y-o-Y in this quarter, reflecting improved operating efficiency. Consolidated PAT is at INR23 crore s in this quarter, versus a loss of INR59 crore s in the previous quarter, which had a one -

time exceptional loss of INR98 crore s. PBT stood at INR31 crore s, up from INR18 crore s in the previous quarter.
Moving to the first half of the year, ABLBL revenue stood at INR3,878 crore s, up 3% Y-o-Y.
EBITDA grew at 7% in absolute terms to INR624 crore s, versus INR584 crore s in H1 last year, with margins improving by 50 bps to 16.1%, despite higher advertisement spending current year.
PAT for H1 stood at INR48 crore s.
During the quarter, we continued to expand our retail presence, adding 75 -plus new stores in this quarter.
Our footprint now spans 4.7 million square feet across 785 -plus cities and towns, with a network of around 3,250 stores, including 550 -plus stores in smaller towns. Our retail presence continues to be a powe

rful growth driver. With the console edition exer cise now complete and a strong foundation in place, we expect to see a steady net addition of stores going forward.
Turning to our lifestyle brands, retail like -to-like grew at 12% during the quarter, reflecting consistent performance across all months. This performance builds on the solid momentum of past five quarters, where LTL growth has remained very strong. The gr owth was fueled by a combination of product portfolio upgrades, impactful marketing campaigns, and continued enhancement to in -store experience, all of which deepened consumer engagement and strengthened brand salience.
Revenue for the quarter rose 7% Y-o-Y to INR1,754 crore s, with an EBITDA margin of 19.3%.
The portfolio further expanded its presence with 60 -plus growth store additions during the period. While retail remained strong, secondary growth across other channels also continued to perform well, led by double -digit li ke-to-like growth in the departmental store business. Primary

sales were temporarily impacted in September due to the GST transition.
We expect this segment to report strong growth in the coming quarters. Our emerging business portfolio, which includes Van Heusen Innerwear, American Eagle, and Reebok, now sp reads over 350 -plus stores. The network also delivered a robust 11% like -to-like growth during the quarter.
The strong retail momentum reflects the growth of strength of our brands and effectiveness of our product strategies. The overall portfolio revenue was impacted by a closure of Forever 21, which was part of the base year numbers. Profitability improved by 150 b ps, mainly due to lower losses in Van Heusen Innerwear business.
Together, this positions the emerging business portfolio well -prepared for profitable and scalable growth in the coming quarters.
In summary, despite a measured consumer environment, we delivered steady growth, improved profitability, and broadened our presence across both established and emerging markets. Our lifestyle brands continue to demonstrate strong growth, while the emerging businesses well -positioned to become levers of profitable and meaningful growth in the coming quarters.

With a robust store network, an enhanced product portfolio, and continued digitization across operations and supply chain, we are well -equipped to capitalize on future opportunities. As we expand our product portfolio through innovation and our distributio n into high potential markets, we remain confident in our ability to sustain profitable growth and create long -term value for all our stakeholders. We are now open to questions. Thank you.
Moderator: Thank you. The first question comes on the line of Gaurav Jogani with JM Financial. Please go ahead.
Gaurav Jogani: Hi, thank you for taking my question. So, my first question is with regards to the emerging business. If yo u can quantify the impact of Forever 21 in the base quarter, so that will help us to appreciate the growth for the remaining of the portfolio?
Vishak Kumar: Hi, Gaurav. So, there is bot h a top -line impact because of Forever 21 and a bottom -line impact. Maybe the overall growth would have been better by 1% if the Forever 21 business was not considered. Of course, the EBITDA impact is also there and that is also there in both the base and in this year, that loss is not there.
Gaurav Jogani: Sure. So, if I understand it right, given that if there is a 1% improvement, would that imply that the rest of the business would have also not grown very significantly in that context? I mean, because if you see the overall growth rates in that sense , it is declining by 10% on a Y -o-Y basis?
Vishak Kumar: Yes, fair conclusion. I think there are two, three points that I would like to make, Gaurav. One is that, look, if you were to look at the like -for

-like sale in the emerging businesses, all of them together had double -digit like -to-like. So, between th e innerwear business, Reebok business, American Eagle business, I think o ur weighted average was some 11%, 12% of like -to-like sales.
There was a couple of things which impacted our overall business. One is the transition with GST, where a lot of our wholesale partners had to reconfigure their purchase order systems, IT systems, and so on. So about half of September in that sense was lost for a large part of our business. In businesses with smaller base, it impacts you a little more. So, it had that effect as well.
There is also, specifically in Reebok, the issue of the pipeline inventory. We had reduced the inventory in some of the exclusive stores, which are buy -and-sell stores. So, that also shows the impact of that in the way we recognize revenue in the system. So, that's broadly the reason, which is why the 11%, 12% like -to-like doesn't translate to a similar growth in the o verall business.
Gaurav Jogani: Okay, sure. T hat helps. And lastly, just one bookkeeping question, I would say, in that sense. If you see the deprecation and the interest amount, both have seen quite a sharp increase on a sequential basis. I mean, if you see the dep recation has increased from INR 173 odd crores to INR209 crores odd in Q2 and likewise, the interest has also gone up. So, if you can help u s out with the reasons for that?
Management: So, Gaurav, these are the new additions and stores and whatever leases we sign for the new stores, then I have to consider this as part of the depreciation and create the lease liability. That

is the impact. Otherwise, in finance terms, the finance cost has come down because we effectively manage our borrowings supported by the interest rate reduction.

Gaurav Jogani: Sure. So, sir, at least on going forward basis, can we consider this as a normalized number that we can take ahead?
Management: For depreciation and interest?
Gaurav Jogani: Yes.
Management: Right now, yes. But let us see how H2 pan out because generally H2 for this business is very good. So, the finance cost should come down.
Gaurav Jogani: Okay, sir. Thank you. That's all from my side.
Moderator: Thank you. Next question comes from the line of Archana Menon with Morgan Stanley. Please go ahead.
Archana Menon: Hi. Thank you so much for the opportunity. Just continuing from the earlier question on the emerging businesses. So, when we look at the quarters ahead, 3Q, 4Q, what will be the impact of Forever 21 in the base now?
Vishak Kumar: Not too much, Archana. It won't be very material on the base. We had started scaling down F21 last year itself from Q3. So, there would be some business impact maybe for Q3 as well. But by Q4, it would be insignificant. Maybe separatel y, I can give you exact numbers, b ut all I can say is it's scaling down even in the last year's base, it would continue to reduce.
Archana Menon: Understood. And on Reebok, what would your customer sales growth be like at an overall brand level a nd how should we be again thinking about some of the pipeline inventory related challenges for the coming quarter?
Vishak Kumar: No, thanks for asking that. I think 9% was our same store growth in retail stores. In department stores, it was 12%. So, I think at a consumer level, it would have been an overall aggregated 10% plus overall growth. So, in that sense, the brand is on a nice, steady growth path. A lot of the sourcing issues around BIS, all of that have been streamlined and it's on a good growth path. A lot of stores getting added as well. I think we added some 20 odd stores. So, all of that should keep building on the momentum for the brand.
Archana Menon: Got it. So, again, when we look at the quarters ahead, wouldn't it be fair to assume that t

his
customer level growth also gets translated into reported revenues in the coming quarter?
Vishak Kumar: I mean, I would like to believe so. I can't say with definitiveness, but I would like to believe that yes, because this primary to secondary is not a continuous thing. So, you don't keep reducing the inventory in the store. So, just to give you a sense in all our other brands, Archana, we run an automatic replenishment system software.
We introduc ed that in Reebok last quarter or l ast to last quarter, but most of the impact was in last quarter. The software also, in that sense sharpens the inventory in each store. So, it did result

in sharpening of the overall inventory levels in every store. That streamlining is pretty much done, Archana.
Archana Menon: Understood. Very clear. Lastly, on the GST impact for ABLBL as a whole, how has the portfolio been impacted? I mean, what has been the percentage of the portfolio where you had to take slight changes a nd how have you sort of adjusted for that?
Vishak Kumar: There are two parts. One is, of course, the immediate impact, which you saw in Q2, which was more to do with the wholes ale businesses, et cetera, the transition impact, waiting for IT configurations, purchase orders, et cetera. That is behind us. So, now it's more about how consumer takes on the revised prices.
So, look as far as we are concerned wherever there are reductions, we would pass that on to consumer w hereas, there are increases we would do the accordingly. So, it now remains to be seen how consumers respond to this. A good test of that would be in the wedding season now, where a lot of our suits and blazers and all are at play right now. So, you'll have to see that part playing out in the next few quarters.
Archana Menon: Understood. And this last question, anything you'd like to share in terms of the demand trends you've seen during the festive, vis -a-vis the fest ive last quarter a nd any early signs in October and November for the festive?
Vishak Kumar: Early days. I think you would have seen through across the industry, it was an okay Diwali. And we will have to now see how the wedding season pans out. If you go by the calendar, it should be a decent wedding season. So, let's see. It's so far in line with market trends. So, let's see how that pans out over the next few weeks.
Archana Menon: Understood. Thank you so much.
Vishak Kumar: Thanks, Archana.
Moderator: Thank you. Next question comes from the line of Tejas Shah with Av endu s Spark Institutional Equities. Please go ahead.
Tejas Shah: Hi, Vishak. Thanks for the opportunity. Vishak, this quarter was likely a complicated one for industry in terms of many signals got jumbled up, early puja, but at the same time GST led

disruption and then extended monsoons. So, if you remove all the signals, how are you reading consumer sentiment a nd I'm not asking only for this month or this quarter because a lot of impetus from government has been put in to revive this. Are you seeing that at a broader level?

Vishak Kumar: Look, GST led thing, we'll have to see how that pans out. It's very early days to see how that pans out because in peak Diwali season, it's hard to figure out what was the impact. Also, when there is an early Diwali, it's a lot of effort to separate how mu ch of it was Diwali impact versus how much of it was wedding impact.

So, you're right. It is getting more and more complex to decipher this. I can only say that one of the indexes for us is the suit and blazer sale that we do, which has now a lot of Diwali business.

Last year would have had Diwali and wedding. This year was probably more Diwali, less wedding.

So, we'll have to see if November, December pan out true to their wedding date

s, then you would be able to say that yes, some of it worked out. We'll have to wait for that. But in general, if you're asking, look, has there been an overall greater consumpti on in the market? I would say not yet visible.

Tejas Shah: Yes. Sir, there were two more interventions which government made before GST, which was at monetary policy easing level and then income tax cut level. So, what I was trying to understand that, is it safer to say that the first two measures have still not surfaced in terms of increased demand?

Because one of the national chains said that they saw at least exuberance in terms of footfalls picking up and they called out, if I remember correctly, did one of the best Diwali in last three years in terms of footfalls. At least conversion, they also di d not say that is happening as much.

So, I'm just trying to see at a broader level, should we say that the trends are changing or it is -- and then this is not, as I said, not GST led only, but all those measures which happened before as well.

Vishak Kumar: So, let me say this, one clear indicator in the last couple of quarters is very strong growth in small -town India. And that is something which is -- which we saw in Q1 and we also saw that, in fact, it was a stronger like -to-like in small -town than even ou r very good like -to-like in urban centers. So, that is something which I can safely say, yes, this had an impact.

Other than that, like I said, I want to be a little guarded about Diwali because I need to make sure how much of it was Diwali versus how much of it is wedding. And once that result comes out, I'd be able to say with more confidence that yes, Diwali worked well. So, we'll have to see that result panning out over the next few weeks actually. Next six weeks, we'll get a good sense of that. I would say, yes, it was a decent Diwali, but how good was it? I'll be able to tell you only once we know how well the we dding season was.

Tejas Shah: Yes. And any regional or so you spoke about Tier 2, Tier 3, but any regional nuances in terms of north -east, south -west, any divergence there?

Vishak Kumar: Yes, and no. In the sense that, yes, north was fairly strong this time, okay. So, it did well. East was going well till the flood situation happened in some parts of West Bengal. Also, some of those disturbances in Guwahati and some parts of northeast that also had an adverse impact. So, it's been in that sense a bit of a mixed bag. So -- but beyond that, no other trend, Tejas, at a regional level.

Moderator: Next question comes on the line of Shreya Baheti with Anand Rathi Institutional Equity.

Shreya Baheti: Hello, sir. So, I just wanted to ask about the how -- like if we see Navratri was this time early. So, what was -- if we look at the festive impact, so, sir, how -- if you could just give a sense of how did Navratri impacted the Q2 sales for us? And also, I wanted to understand this 120 bps

EBITDA margin expansion. So, this was led by operating leverage, but did it also have the impact of a gross margin expansion in lifestyle and emerging brand segment?

Vishak Kumar: Okay. So, two questions. One is you asked on Navratri. I think…

Shreya Baheti: Yes, sir.

Vishak Kumar: Navratri continued for us in the same pace as the overall like -for-like has been for the business. So, yes, that's the way it was. But like I was explaining to Tejas earlier, I think, we'll have to hold for a little more to see the impact of how the weddi ng season goes. So, yes, so that's one part, Shreya.

Shreya Baheti: Okay.

Vishak Kumar: You had another question that you had asked.
Shreya Baheti: Yes, sir. Sir, it's regarding the EBITDA margin expansion.
Vishak Kumar: Yes. So, it was a combination of multiple things, a lot of cost reduction initiatives, Shreya, which went through. Also, as you know, when yo

u have strong like -for-likes, you get rent leverage.
So, you would see that also impacting because most of our rent is with fixed costs, whichever is the company -owned store, etcetera, the fixed costs and rent gets spread across larger sales base.
So, that also impacts. Plus, there have been multiple cost reduction program initiatives, which have also helped to improve the margins, both in the emerging business, as well as in the lifestyle business.
Shreya Baheti: Okay, sir. And sir, also, if you could tell what is the revenue growth for emerging brands excluding the Reebok business?
Vishak Kumar: So, I thought I'd just explain that to Gaurav. Shreya, do you want me to repeat that? Yes.
Shreya Baheti: Sir, basically, you said that 9% SSSG is for the retail business, for the Reebok segment.
Vishak Kumar: Yes. Yes. Yes. So, if you look at it, it's broadly outside of Forever 21, which we phased out.
There are three large pieces. There is Innerwear, there is Reebok, and there is American Eagle.
I also tried explaining to Gaurav that, the overall 4% ABLBL woul d have been a little more than 5% if it had not been for F21.
Shreya Baheti: Sir, that is understood. I just wanted to understand, like, how did Innerwear and American Eagle perform?
Vishak Kumar: So, they were, again, like -for-like all double -digit growth businesses.
Shreya Baheti: Yes.
Vishak Kumar: Okay. But also similar to many other parts of business which are impacted by wholesale. So, there was the impact of, in all our calculations now we've done a July plus August separately

and a September separately. So, there was the impact of all of these transitions which impacted this also. In -- specifically, in the case of American Eagle, there was also some network rationalization which also impacted. But without that, that also -- that brand was also near, I think, 9% or 10% like -for-like on American Eagle as well.
Shreya Baheti: Okay, sir. And sir, yes, I understood. And, sir, just one last question on, sir, this working capital increase, sir, it must be due to the inventory build -up we did for festive…
Vishak Kumar: Yes.
Shreya Baheti: And wedding season.
Vishak Kumar: Yes. Yes.
Shreya Baheti: Sir, if we have to compare it to last year, September '24, so, sir, is it mainly due to seasonal and this is what is leading to increase in the debt also?
Vishak Kumar: So, yes, you're right. The season is earlier this time and when you're planning, you don't know how much consumer will respond early. So, you'd rather be safer when you're planning. So, a lot of our planning horizon would be built around early season inwar d. So, we did that. So, that's largely the reason for the delta in working capital and you will see that pretty much by the end of this quarter that would be back to the same levels pretty much, except for the growth and expansion in network which would carry more inventory.
There was also this additional factor of some of the supplies from Bangladesh were getting a little uncertain. So, we had to make sure that we -- and a lot of winter wear from there. So, we want to make sure that we took that in early to prevent any busine ss loss when the winter season starts.
Shreya Baheti: Okay, sir. Sir, this will go down by the end of FY '26 and debt levels will also go down.
Vishak Kumar: Jagdish , you want to answer on the debt level?
Dharmendra Lodha: Yes.
Vishak Kumar: I can safely say this.
Dharmendra Lodha: So, Shreya, yes, definitely by end of FY '26, debt level should go down from this number.
Shreya Baheti: Sir, if you could quantify?
Dharmendra Lodha: So, we don't quantify the number, but this is directionally, it should go down from this number.
Moderator: Next question comes on the line of Devanshu Bansal with Emkay Global.
Devanshu Bansal: Hi, Visha k. Visha k, we have discu

ssed about it in previous sessions, just for better understanding. This time around, the underlying consumer level growth trend has been about

10% in your, say, wholesale businesses, both in lifestyle and emerging segments. However, the reported numbers are lower because of primary getting affected because of GST transition. But now that the channel is lighter, do we expect like this impact to sort of come back into higher growth in Q3? So, for better understanding, so there has been a 20% impact, right? So, 10% is the consumer level growth and we have reported minus 10%. So, do you expect this 20% to add on to that 10% underlying growth trend in coming quarters? Is this the right way to look at it?

Vishak Kumar: So, Devanshu, just one extra factor I want to bring in, which I had not shared with you earlier, but which also impacted our overall growth in last quarter, which is a very aggressive target that we took on store renovations. So, just to give you a sense, we did 65 store renovations in just the last quarter. A typical renovation takes about 45 days to 60 days. So, it is almost like some 130 store months which are not there during the quarter. And that also has -- as you can do the calculation, that also has an impact on your overall growth.

That is, however, something that we will continue for the next few quarters. We want to upgrade more and more of our stores. Also, in a lot of stores, we are making them larger, making them, wherever agreements are coming to an end, we are taking larger sp aces in the same locations, etcetera. So, all of that is, however, going to reflect in some flux in the business in terms of overall retail growth.

But to answer a larger question around should in the coming quarters more and more of like -to-like sales and secondary sales translate to overall growth, our simple answer is yes. There will be ups and downs across various quarters depending on seasons, we ddings, all of that.

But by and large, directionally, and that is what we have said in earlier communication as well, I think double -digit growth is something that we should expect from these brands in the medium -term. Give or take a few quarters, plus or minus, but yes, by an d large, that should be the direction.

Devanshu Bansal: Got it. And these 130 stores that you are talking about that…

Vishak Kumar: 65 stores -- 65 stores, yes.

Devanshu Bansal: 65.

Vishak Kumar: Devanshu. Yes.

Devanshu Bansal: Yes. Sir, I was asking that, were these company -owned stores or franchisee stores?

Vishak Kumar: Yes. So, these were company -owned stores. There would be some franchisee stores also. They would also renovate. So, that is a work in progress for us. When you have a 3,000 store network, and typically, we renovate once every five years to six years. So, there is that process of -- we have also created a lot of new exciting retail identities across our brands, which also reflect the way consumers like to shop today.

So, that is something which we will go through that process and we have done a lot of heavy lifting around that in the last few quarters. It is something which also results in stronger like -for-likes as you do the exercise. So, yes, so that has been keepin g us on these numbers.

Devanshu Bansal: So, Vishal, my question was more into the wholesale channels, the e -commerce channels for lifestyle businesses and the emerging segments, right? So, where you mentioned there is a gap between primary and secondary. So, for these channels…

Vishak Kumar: Yes.

Devanshu Bansal: I was just checking whether the impact that has been there to the tune of 10% to 20% in terms of growth, that sort of adds back into the underlying growth trend, right, which is…

Vishak Kumar: Yes. Fair point. I think,

no, I think, that is a fair point. As long as we continue doing these kind of secondary sales, that should translate to primary sales in quarters ahead. Absolutely.

Devanshu Bansal: Okay. Okay.

Vishak Kumar: Yes. That is a fair question.

Devanshu Bansal: Yes. Second, Visha k, I wanted to understand, you have been mentioning that there is a steady demand uptick across non -metro markets, right? So, and here, I guess, quite some time back, we sort of indicated that these markets, the experience was not so great from the below, I would say, Tier 2 markets, the experience was not so great.

So, what has actually helped to turn around these markets? Because from a competition perspective, we are seeing some challenges with some of the value retailers who are indicating that the industry as such is sort of not growing to the extent it is growin g, but it is certainly to see that from a brand's portfolio, you are getting a good amount of traction. So, if you can just throw some lines there.

Vishak Kumar: Yes. So, yes, you are right. We define small towns as a Tier 4 kind of town. These are 1 lakh, 1.5 lakhs population towns. And you are right, they have been doing well for us. I would say a combination of two things. One, yes, market itself has picked up. Actually, it was -- if you saw

these stores, these markets three years back, they were doing very well. Last, maybe before this quarter, few four quarters, five quarters were bad for smaller towns. Seems to be coming back. I also think we have sharpened our ways of working in these towns, our methods of doing regional assortments, our methods of activating regionally, locally, etcetera. I think we have gotten better and better at managing this format of stores. So, it is a c ombination of both. The fact that there have been some tailwinds in the market and the fact that our ability to manage these stores has improved over time. So, there has been that learning curve as well.
Devanshu Bansal: Understood. Last one, bookkeeping question. Sir, I am noticing that there is a significant reduction in the rent expense reported by the company, which is sort of moving towards depreciation and higher interest cost. So, is there some change in model? Bec ause rent was typically the commission that we used to franchise. So, are we sort of converting some of our

franchise stores to company -owned stores? How should we see this? Because there is a significant reduction in the rent expense.
Dharmendra Lodha: Yes. So, you are right. In one or two brands of ours, which Vishak explained to you in last quarter, we changed the model and now we are coming back. So, I think our business model continues to be franchisee -driven growth, except a few C OCO stores also. But whatever actions we have taken, that is the impact of the variable rent, which you are seeing in the published result.
Devanshu Bansal: Can you explain as in what exactly has happened in which brand? It will help us appreciate that transition.
Vishak Kumar: Sorry, can you repeat that, Devanshu?
Devanshu Bansal: I am saying, can you help us better understand what exactly has the change happened and in which brand this change has happened?
Vishak Kumar: Look, two things, Devanshu. One is you must recognize that in the way India handles accounting of depreciation, it is front -loaded on depreciation. So, as you put up new stores, okay, you would see a higher charge in early years, while as you close earlier stores. So, that delta you would see in the EBIT last year to this year, probably you are referring to that.
Second piece which Jagdish is referring to is a few stores which would have got converted from franchisee to a COCO operation. These are tactical things that you would do time -to-time, depending on, if there are stores where a franchisee does not want to continue the busines

s, he
is moving abroad, he is trying to do something else or it is not viable enough for him, et cetera. So, there are time -to-time, you would then take on some of these stores. So, we would have done that as well. So, it is a combination of these two things which have resulted Devanshu in this.
Devanshu Bansal: Sure. But just the quantum was big, right? So, we were at a run rate of INR200 crores. So, now we are at INR150 crores. So, this suggests that there is a significant chunk that this conversion has happened, if I'm reading this correctly.
Vishak Kumar: No. I think you'll have to, the MIS numbers versus INDAS numbers, we'll have to give you a bridge to reconcile, we don't probably do that. Yes.
Dharmendra Lodha: It is only INR150 crores versus INR163 crores, INR13 crore s delta, not a INR200 crores going down to INR150 crores . So, I do not know, I hope you are seeing th e right one .
Devanshu Bansal: So I was referring from a quarterly perspective. So, in Q1, it was 190, which has moved to 150, but on a Y -o-Y basis, it is 13.
Vishak Kumar: Yes. So, INR1 63 crores to INR150 crores. Yes.
Devanshu Bansal: Okay. Sure.
Moderator: Thank you. Next question comes from the line of Kunal with Jefferies. Please go ahead.

Kunal: Hi, thank you for the opportunity. Most of my questions have been answered actually, but one question I had was on this entire GST transition. So, has it created any, let us say, troubles for you in the portfolio, especially around price points of, let us say, 2 ,500, because there is a very sharp jump from 5 to 18, right?
So, any impact that we should expect in the long, let us say, in the next few quarters on margins because of that? Maybe you have to take down products which are around those price points ?
Vishak Kumar: Not gone from 5 to 18, it has gone from 12 to 18. So, there are parts.
Kunal: No, what I mean is the delta when you cross that threshold is now very steep, right?
Vishak Kumar: Yes. So, two, three things. One is, like I explained earlier, the transition challenge we had to go through, especially when you are dealing with wholesale partners, purchase order systems, all

of that, you have to deal it. I think that is behind us.
We also had to do a lot of repricing in front end to transparently pass on the prices to consumers, etcetera . That 's also been done and that has been executed. Now, as we move ahead, it is about how well do consumers accept these prices, wherever the prices have gone down, how much demand goes up because of that.
I think there is also another dimension of, like you rightly said, there is a very steep delta from when you go up about 2 ,500, technically actually 2 ,625. So, when you go up from that, it suddenly moves from 5 to 18. Product managers, pricing managers have to get more and more of products within that 5% GST.
So, some of those are things you do and yet, large part of our suits and blazers wedding business would now be 18%. So, there would be a 6% delta in that part of business. We will have to see how consumers respond to it.
Kunal: Understood. Understood. But let us say, fundamental , let's say, reduction in pricing that you have to take for anything which is priced between , let's say, 2,500 and 3 ,500 because suddenly it becomes a bit more uncompetitive.
Vishak Kumar: Yes, but Kunal, you win some, you lose some. On these things, there are parts of business where you should also expect that the entire 1 ,000 to 2 ,500, where it has gone down from 12 to 5, should also for each of our brands give those commensurate benefits. So, Yes, pricing cannot be completely formulaic. You will also have to build it with what consumers would expect from you and your brands. I think it is fine. I think we should be all right with that.
Kunal: Understood . Understood. That is clear. Second is, on

the -- so we had quite a bit of on the growth of emerging brands. Just wanted to check, how do you expect profitability of this portfolio to shape up?
Because now we do not have that Forever 21, but we have not seen any meaningful improvement on the profitability front. I know two of the three parts of this portfolio are actually profitable. But how do you expect the overall portfolio to move, let us say, in a year or so from now?

Vishak Kumar: Yes, so we should keep getting better and better. And yet, I do want to tell you that, at least in the innerwear side of business, we will continue to invest for growth. And that is something which is going to be a very important part of our overall play in t he portfolio. And we will grow very aggressively.
So, in the order of priority, there would be a lot of impetus for growth. Of course, as we keep getting benefits of leverage, we will keep getting more and more efficient and profitability will keep improving. So, directionally, you should start seeing that. And yet, I do want to say that this is the part of business where there is a lot of headroom for growth, very, very, almost exponential headroom for growth. And we have to recognize that as well.
Kunal: Understood, understood. Very clear. Yes, that is all from my side.
Vishak Kumar: Thanks , Kunal.
Moderator: Thank you. Next question comes from the line of Sameer Gupta with IIFL . Please go ahead.
Sam eer Gupta: Hi, am I audible?
Vishak Kumar: Yes, Sameer.
Sam eer Gupta: Hey, good evening, everyone. Thanks for taking my question. Sorry about the goof up earlier during the call. So, first question is on innerwear. Now, the numbers that I am looking at, I assume there has been a large decline this quarter.
There could, I mean, you already alluded that GST transitions would have led to , but just wondering for a category which is largely under INR2,500, why should a GST transition really affect this category? So, just a number, what kind of a decline have we seen in innerwear? If you could answer that?
Vishak Kumar: No, but Sameer , everything which is above 1 ,000, the GST rates have changed. So, we have to recognize that. But also, you know, it is not just about percentages, etc etera . There is a system development transition challenge that every business would have gone through.
Whether it is your distributors, whether it is your key accounts, e -commerce partners, a whole lot of changes to be made into their ordering systems, which is, frankly, a fairly time -consuming process for any, actually, even for small size organizations, n ot only for large organizations, for everybody, there would have been the challenge of going through that.
Regardless of whatever the, whether you have increased, decreased or, you know, the percentage GST is not so much the issue as it is the administrative part of going through that transition.
Sam eer Gupta: Okay . But let us say, I would still assume that large part of innerwear will be below 1 ,000 only, at least at the final price sale. Would that transition then impact this part of the sale also?
Vishak Kumar: Yes, two things. One is that we also do a fair bit of athleisure , okay, which is all about 1 ,000, a lot of it is about 1 ,000, not all, but a lot of it is about 1 ,000. A lot of lingerie would come at 1 ,000

plus, okay? Then we also send it to wholesale in September, the winterwear first dispatches,

which is all about, definitely about 1 ,000, and in many cases, about 2 ,500 as well. So all of those would impact , Sameer.

Sam eer Gupta: Got it, got it. So see, broadly, I wanted to understand is that among the three emerging business segments that you have, innerwear is a segment which has been struggling for some time. Lifestyle bran

ds have come back, others are performing, but this segme nt continues to be under pressure. One, the latest quarter, if you just adjust for the GST noise, is there any sign of improvement? And two, what is the path to both growth recovery here and profitability here?

Vishak Kumar: Fair question. Three, four data points for you. One is that across our network, across our brands and formats, the highest like-for-like sale was in innerwear retail. So we have some 110, 115 exclusive innerwear stores, which should have had an average 20 % plus like-for-like. So that tells you the strength of the brand with consumers which is there.

From a wholesale perspective, we are also going through, you know, I think we've said in the last few quarters also, we are also doing a lot of inventory corrections, bringing down our overall base of inventory, et cetera, which has had its challenges beyond what I said to you about GST, but it's only making us even more robust, even more faster replenishment, etcetera.

The fact is also that the overall market continues to be soft, right? So it is also not, there are not too many tailwinds in this part of business. So all considered, I think the biggest pluses that I would take from the quarter is the fact that continued very aggressive. Q1 was also very strong like-for-like on innerwear retail. Q2 continues to be very strong like-for-like on innerwear retail. I think that momentum is very good.

Second is we've also been able to strengthen the shape of business, being able to manage costs and supply chain costs, all of that sharper, which has resulted in a better shape of EBITDA for this part of business. I think the biggest challenge now is going to be how do we create exponential sales growth, putting together a lot of things in place so that , Sameer, that is something we can put into action.

Sam eer Gupta: And the path on profitability ? So just trying to understand what is the problem area? Is it a low gross margin because of the higher trade spends? Is it markdowns in inventory that you have to take on time to time? Is it higher marketing? Where is the really, you know, the line item which is causing it to be a loss making segment for many, many years now?

Vishak Kumar: So I think this is a business which we are playing for a very large stake. So this is something that we want to be very large and meaningful. So there are deeper investments into making this happen. You're right. It's a sharp margin business. And I think we'll have to recognize that . It's also a business where the components of the business change significantly.

What you know, the kind of share that athleisure had in this business to what is now it's evolved into. I think we all have to recognize and go with that. But here is a business which also has a lot of consumer stickiness. So as we keep selling every pair of Van Heusen innerwear to consumer, you have more and more sticky consumers.

So it is something that you do one consumer at a time in that sense of building a stronger and stronger base of consumers. It is habit forming. So as you sell to more and more consumers, you build a stronger franchise for the brand. So it has to be done patiently. Sam eer, we'll have to go through this.

Sam eer Gupta: Got it. Fair enough. Just a bookkeeping question from me. Part of your portfolio, this is overall lifestyle plus emerging included, which is below this sweet price point of now INR2,625 for you? Hello.

Vishak Kumar: It's very hard to explain this off the cuff. Maybe we can put this analysis together because there are various slices and dices and we do this usually at a single brand level. So each brand tracks this separately. Maybe we can share this separately with you. Yes.

Sam eer Gupta: Vishak, no problem. I will come back in the queue. Thanks for the opportunity, Vishak.

Thanks.

Moderator: Thank you. Next question comes from the line of Sucrit D Patil with Eyesight Fintrade Pvt. Ltd . Please go ahead.

Sucrit D Patil: Good afternoon. I have a broader question on ABL's long-term direction. As more fashion and lifestyle brands expand across India, what is Aditya Birla Lifestyle doing to build a strong edge, not just through store count or celebrity tie -ups, but something deeper like a way of working or thinking that grows over time and makes the company hard to replace?

Vishak Kumar: So you're saying what are our strategic strengths or differentiators? I think many, Sucrit . If you refer to our strategy deck that we shared some time back, you would see that. But it's also a very deep knowledge of markets, different segments, consumers, etc etera ., which in that sense gives us our strengths.

It's also a very deep understanding of retailing. We run 3,000 plus stores, continue to do that, build very strong equations with various partners in the ecosystem. We work very closely with various business partners across franchisees, malls, department s tores, mills, and so on.

We also have a very strong creation ecosystem with a very strong manufacturing base, a creation, designing creation base, product creation base. So , there are multiple things which give us that, a very tech -enabled organization. So it will be difficult for me to explain this over an earnings call, but I think a lot of things which we believe will give us a right to win in the market.

Sucrit D Patil: Okay, fair enough. My second question is to Mr. Lod ha. As retail expansion and customer experiences keep on rising, how are you planning to protect the margin s? And are there any smart internal methods like sourcing or any store design that helps you to keep the quality high without hurting the profits, even if they don't show up on the numbers?

Just trying to understand how you balance brand experience with keeping margins strong over the time. Yes, sir. Thank you.

Vishak Kumar: So, Su crit, if you look at our type of business, you know, our biggest drivers of profitability is actually rent leverage and sales per square foot. There is some like -to-like is probably one of the

best drivers of profitability and that's why you see margins expanding over time. So that is something which has worked well for us.

Of course, there are continuous cost programs around capex per square foot reduction, around various such things, but I would say this bigger lever for margin expansion would be built around greater retail productivity, greater retail throughput. So that's what we will continue to drive. Of course, in each brand, the capex per square foot , cost plans, etc etera ., would be very different, very contextual.

Let's say a Louis Philippe store cost per square foot would be very different from, let's say, a Peter England cost per square foot and so on. So it would also depend on what the brand's position, its equation with consumer, etc etera, is.

Moderator: Thank you. Mr. Patil, please rejoin the queue for more questions. Next question comes on the line of Kunal Bhatia with Dalal & Broacha . Please go ahead.

Kunal Bhatia: Yes, hello, sir. Thanks for the opportunity. Sir, from the overall call, one does understand that this quarter around, as you mentioned, Diwali was okay, plus there was a GST transition. You've also mentioned that the smaller towns are doing well vis -a-vis the metro. So broadly, what's the pain point here?

Meaning, on an overall basis, despite the government impetus, whether it be through income tax savings or through GST, is it the competition which is dragging the sales or there is something else which is also impacting the overall environment? Because your commentary, even in case of wedding, was, we hope so, that the wedding season should be good. So

just wanted to get a broader perspective here sir.

Vishak Kumar: So very nicely summarized, Kunal. But here's what I would say. There are two parts. One is external market, and one is what we do internally. Markets have been how they've been. You would have heard commentaries from various players in the market.

I think for us, our task, we know what is -- what needs to be done. We have to continue to expand aggressively. You will start seeing that, you know, you've already seen that our overall network has significantly increased in the last quarter. That has to start bearing fruit. We'll continue to expand aggressively. Our e -commerce business, you would have seen in the overall growth, is something which we could do better in.

We have to find our own methods and recipes by which we make that part of business stronger. There are multiple growth opportunities, regardless of how markets are, which we have to keep chasing to make sure that we continue to grow and we continue to be s trong. And as tailwinds come back to market, that should only help us to grow even further.

But Yes, right now, is it fair, easy for me to say, yes, markets are great? I think we're all seeing out of the window to see how the markets are. But separately, Kunal, we have to do what we have to do to keep growing in the business.

Kunal Bhatia: Sir, but at this point in time, what would be the most crucial pinpoint for you or the industry as a whole?
Vishak Kumar: Well, I wouldn't call it p ain point. You would want more consumption in the market. That is something which everybody in the industry would seek by. I wouldn't call it a p ain point, but that is something which everybody would want, more consumption.
Kunal Bhatia: Okay, fair enough, sir. Thank you.
Moderator: Thank you. Next question comes from the line of Devanshu Bansal with Emkay Global. Please go ahead.
Devanshu Bansal: Yes, hi. Thanks for the follow -up opportunity. Just one book keeping explanation. So in Q4, we did call out that Forever 21 had about INR50 crores los s in the EBITDA level, a one off. And then INR50 crores was in the interest expense, right, for FY25. I just wanted to check in which quarters was this sort of recognized last year?
Management: In H1, primarily.
Devanshu Bansal: So H2 basis...
Management: Yes, except th e small number, rest all is accounted in the H1 part.
Devanshu Bansal: Okay. An d, sir, one request, so we have made some reporting changes, but we have not provided comparable numbers even for the last year, right? So it would be very helpful if you could provide that because making projections on only one or two quarters of data becomes ver y difficult.
Management: Sure. Sure.
Devanshu Bansal: If you could provide the comparable numbers at least for last four quarters of FY25, it will be very helpful.
Management: Yes, Yes, Devanshu, you know, it was part of the consolidated ABFRL, so we are splitting up, but, you know, we'll provide you separately.
Devanshu Bansal: Okay, sir.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of the management, we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi . You may now disconnect your lines. Thank you.

Call: Feb 2026

Aditya Birla Lifestyle Brands Limited

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February 6, 202 6

BSE Limited
Scrip code: 544403 National Stock Exchange of India Limited
Symbol: ABLBL

Sub.: Transcript of Q 3 FY26 Earnings Call of the Company
Ref.: 1. Regulation 30 (read with Schedule III - Part A), of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ;
2. Our intimation dated January 28 , 202 6.
Dear Sir/ Madam,
Pursuant to the above referred, the transcript of the Q 3 FY26 Earnings Call held on February 3, 2026 is annexed herewith .

The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e ., www.ablbl.in.

Thanking you.
Sincerely,
For Aditya Birla Lifestyle Brands Limited

Ashish Dikshit
Managing Director
DIN: 01842066

Encl.: As above

"Aditya Birla Lifestyle Brands Limited
Q3 FY '26 Earnings Conference Call "
February 03 , 202 6

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR – ADITYA BIRLA LIFESTYLE BRANDS LIMITED
MR. VISHAK KUMAR – DEPUTY MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ADITYA BIRLA LIFESTYLE BRANDS LIMITED
MR. DHARMENDRA LODHA – CHIEF FINANCIAL OFFICER – ADITYA BIRLA LIFESTYLE BRANDS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Third Quarter Earnings Conference Call of Aditya Birla Lifestyle Brands Limited. The call will begin with a brief discussion by the company's management on the Q3 FY '26 performance followed by a question -and-answer session.

We have with us today Mr. Ashish Dikshit , Managing Director, ABLBL, Mr. Vishak Kumar, Deputy Managing Director and CEO, ABLBL, Mr. Dharmendra Lodha, CFO, ABLBL. I want to thank the management team on behalf of all the participants for taking valuable time to be with us.

I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questio ns only. Housekeeping questions can be dealt separately with the IR team.

With this, I hand the conference over to Mr. Dharmendra Lodha. Thank you and over to you, sir.

Dharmendra Lodha: Thank you. Good afternoon, everyone. Thank you for joining us today. I would like to welcome you all to the Q3 FY '26 earnings call for Aditya Birla Lifestyle Brands Limited. As we reflect on demand during the quarter, it began on a strong note with healthy momentum through October and November before moderating in December, partially due to a shift in wedding dates. Additionally, a portion of the festive season played out in the previous quarter this year compared to Q3 last year, impacting sales growth in the current quarter. Against this backdrop, through a sharply focused and disciplined execution across brands, ABLBL delivered strong double -digit growth during the quarter with healthy performance across channels. This high growth on a disciplined and tightly run cost base de livered strong operating leverage and further margin expansion.

Now moving to the financial performance of our business, overall revenue grew 10% Y-o-Y to reach INR2,343 crores , led by strong performance across brands and channels. Lifestyle Brands grew at 9% Y-o-Y, while Emerging Businesses grew at 13% versus last year. Overall business delivered 6% like -to-like growth, despite the festive shift continuing its strong performance. Other channels also recorded a healthy rebound, with both trade and e -commerce growing double -digit.

Operating on a solid and profitable base, we expect growth momentum to remain strong and profitable going forward. Consolidated EBITDA up 21% in this quarter, driven by strong operating leverage at the back of double -digit sales growth. In absolute terms E BITDA stood at INR431 crores compared to INR355 crores in the same quarter last year. EBITDA margin expanded by 180 bps from 16.6% in Q3 FY25 to 18.4% in Q3 FY '26 .

PAT at INR100 crores , growing 66% versus last year. Reported PAT came at INR69 crores versus a PAT of INR60 crores in the previous year. This includes a one -time exceptional item pertaining to impact of labour code this quarter. Our net debt reduced to INR800 crores as of December end from INR1000 crores in September end.

Moving to the year -to-date performance, overall revenue stood at INR6,222 crores , up 6% Y-o-Y. EBITDA grew at 12% in absolute terms to INR1,054 crores versus INR940 crores in previous year, with margin improving by 100 bps to 16.9% despite higher advertisement spend versus last year. Reported PAT was at INR117 crores versus INR21 crores in last year. Our normalized PAT for the nine -month Y -T-D stood at INR147 crores , up 55% versus last year.

We continued our network, adding around 90 -plus stores during the quarter, as expansion momentum gained pace during the quarter. These stores are larger and feature more impactful records , along with a sharper and m

ore relevant assortment. We expect this momentum to continue with further addition, meaningfully contributing to our sales growth. Our footprint is now 3,300 -plus stores, spanning over 4.8 million square feet across more than 785 cities and towns.

Turning to our Lifestyle Brands , the business delivered growth of 9% during the quarter, supported by healthy like-to-like growth of 5%. This marks the sixth consecutive quarter of sustained like-to-like growth. Performance across other channels also improved meaningfully during the quarter, while secondary sales continued to remain strong in line with past quarters.

Quarterly revenue for Lifestyle Brands stood at INR2,002 crores , with an EBITDA margin of 20.6%. This is the highest EBITDA margin, excluding any one -offs, both on pre - and post -Ind AS basis for Lifestyle Brands in last four years. Growth during the quarter was driven by a combination of targeted product portfolio upgrades, particularly in wedding -like categories, and continued enhancement to the in -store experience.
Ongoing renovation, the addition of relevant assortment, and focused efforts to attract new customers to stores helped deepen our customer engagement and further reinforced brand salience. Our emerging business portfolio, comprising Reebok, Van Heusen Innerwear, and American Eagle now spans over 375 stores, with an addition of 20 -plus stores in this quarter. The store network delivered a robust 16% like-to-like growth during the quarter.
Segment revenue grew at 13%. On a comparable basis, excluding Forever 21 in the base, growth was even higher at 19%. Profitability improved by 790 bps YOY, reflecting positive operating leverage, and continued improvement in Van Heusen Innerwear business. Performance during the quarter was driven by strong product innovation and compelling marketing narratives.
Reebok delivered a 20% -plus growth in this quarter, with a strong improvement in profitability. Overall, Reebok 's network expanded to 200 -plus stores, doubling from 100 stores at the time of acquisition. American Eagle remained on a sustained profitable growth trajectory, delivering double -digit growth in quarter 3. Van Heusen Innerwear business grew at double digits in this quarter, marking a strong recovery after several subdued quarters. Business also saw a sharp decline in losses, and is consistently pu rsuing the path to break -even.

In summary, despite festive and wedding -related shifts , ABLBL delivered accelerated momentum during the quarter. Performance was supported by focus initiatives, including product upgrades across categories, enhanced retail experience, disciplined store extension, and sharper implementation across channels. Lo oking ahead, a strong store addition pipeline, sustained retail growth, and improving performance across other channels provide confidence in the continuity of this growth trajectory.
In parallel, emerging brands are expected to begin contributing more meaningfully, supported by clearly defined strategies around growth and profitability. This portfolio is expected to be one-fourth of overall ABLBL business in next 4 -5 years. Together, t hese efforts will deepen our presence across key micro -markets, both existing and new, while ensuring we are relevant in the lives of our consumers. That indeed is of strategic focus.
With disciplined execution to drive this strategy, we believe the business is well positioned to translate this momentum into sustained, long -term value creation. Over to you. Thank you.
Moderator: Thank you. The first question is from Videesha Sheth from Ambit Capital. Please go ahead.
Videesha Sheth: Yes, hi. My first question was that time and again since the demerger announcement, it has been called out that no fundraise would be made and either of the two entities barring for the tomor

row
business. But in yesterday's filing, it was mentioned that nearly INR500 crores of NCD issuance was approved by the board. So, can you please highlight as to what would be the utilization area for this fundraise and by when are you looking to, when are you intending to raise it?
Management: Thanks, Vidisha. Yeah, you know, at the time of demerger, the company got the borrowings transferred based on the allocation formula. The INR500 crores debentures which we repaid recently in the month of January, we intend to raise it and to refinance the existing, the debentures repaid. There is no fresh borrowin g.
Videesha Sheth: Got it. So, how should one be looking at the reduction in the net debt amount because I think in earlier calls, you had called out that every year the net debt would reduce by, I mean substantially and by two, three years, it should be net cash. So, any thoughts o ver there?
Management: So, if you see from March, beginning of INR800 crores , the September borrowings were roughly INR1,000 crores which we reduced to INR800 crores . The plan is to reduce it, bring it to by another INR75 to INR100 crores . But you know , Vishak and Ashish can talk on the growth capex after demerger which was the rationale which we conveyed that the company will have the growth capital available to them. Vishak, Ashish.
Management: Vishak, do you want to just come in?
Ashish Dikshit : Okay. Let me answer this question. Just to give you an overall summary, the business generates through profit which is through EBITDA cash equivalent of close to 900 crores . Part of it goes into working capital funding. The other part goes into capex. Typically, we have been spending close to 150 to 200 in the best years, maybe INR225 odd crores kind of capex.

One of the primary reasons for demerger was to create an entity which can reinvest back more aggressively into growth. Some of those signals are visible here. This year, our capex will be north of INR300 crores , perhaps INR320 crores , INR330 crores . And that's really why the debt reduction is not very large this year. We still feel that over the next three years, which is what we had indicated, the net debt will be closer to zero in this, although that's not the only goal we are driving at.
Videesha Sheth: Okay. Sure. The second question was, on a net basis, what is the store edition of, what could the store edition of Lifestyle Brands look like for FY ‘27? Any number or guidance that you'd like to call out?
Vishak Kumar : We've added about 50 plus stores in this quarter. Our sense is that we should add another 90 plus net stores in the next quarter. So that would make the overall addition to about INR150 stores this year. We also have already built a pipeline for next year of 120 -odd stores, and that momentum should continue. Whatever we are able to find right up to November, December would be expansion for next year.
So it should be another significant expansion year going forward next year also. We already have a pipeline of about 300 locations that we've identified where our RBD team is looking at properties, etcetera. Usually we convert half of that. So you should look at another significant expansion year next year, Videesha .
Videesha Sheth: Sure. I'll get back in the queue for further questions.
Moderator: Thank you. The next question is from Archana Menon from Morgan Stanley. Please go ahead.
Archana Menon: Hi. Thank you so much for the opportunity. My first question was mainly on the demand side and the revenue growth that's been posted. So is there any divergence this quarter between the primary and secondary sales growth? And is there any element of channel restocking after the GST -related disruption in the second quarter?
Vishak Kumar : Hi, Archana. A few questions here. So first is the impact of GST has been

pretty much digested
through the quarter. So there's no change in stocking or stockholding with any partner because of GST. So that's – there was first couple of weeks of that, but that has been digested through the quarter itself.
So the second question around demand, like Dharmendra had said in his opening statement, October, November were strong demand months. December, the wedding calendar was such that the last of weddings was on, I think, 5th December. So the calendar was not t he same after 5th December. Q4, again, there are weddings. And on February, March onwards, there are weddings. So that impact of demand is there because of that.
In terms of the last question you asked, which is on primary versus secondary, nothing unusual. Usual practices around season launches and build -up towards season and end of season is what has broadly happened. We've had robust secondary sales across depar tment stores, which is what has led to an overall primary sales also being fairly healthy.

Partner to partner, there might be variations, some higher, some lower than secondary, depending on their inventory situation. Also, some partners would be expanding more, etcetera. So that would be the ups and downs. But no general trend around up stocking or down stocking.
Archana Menon: Understood. And how have trends been in January?
Vishak Kumar : The calendar is such that most of the wedding season began post -Makar Sankranti. So we've had an encouraging second half of January. And my sense is that momentum should continue through the next couple of months.
Archana Menon: Understood. Very clear. And just finally, so I think this quarter, in terms of your growth itself, it's returned to double -digit growth, which is your ambition after many quarters. So do you expect this double -digit momentum to sustain in 4Q and 1Q?
Vishak Kumar : Thank you, Archana. You noticed. Yeah, I think we have said this for some time. We want to be a steady double -digit growth and EBITDA 11%-12% steady, sorry, the pre Ind AS margins. So that is something which we should go on momentum. If you see, even in the last few quarters, our retail has been very strong.
We had some course corrections to do on the wholesale side of business and the e -commerce side of business. Most of that is done. So you should see a more steady trajectory, hopefully, over the next few quarters.
Archana Menon: Understood. Thank you so much. I'll get back into the queue.
Moderator: Thank you. The next question is from Gaurav Jogani from JM Financial. Please go ahead.
Gaurav Jogani: Thank you for taking my question. My question is with regards to the wholesale and the other piece of the business …
Moderator: Gaurav, I'm sorry to interrupt, but we can't hear you very clearly. If you're on a hands -free,

request you to use the handset. Gaurav, can you hear us? Gaurav, you can hear us? Maybe there's a network issue. We request you to go to an area with better network and please rejoin the queue. We'll move to the next question. The next question is from Sameer Gupta from India Info line. Please go ahead.

Sameer Gupta: Hi. Good evening, everyone, and thanks for taking my question. Congratulations on a good set of numbers. Firstly, there has been a GST cut for apparel below INR2,500. And above INR2,500, there has been an increase. So, I just wanted to get a sense on what would be the blended price decrease for a consumer of Lifestyle Brands , plus and minus both these aspects. Increase or decrease? I mean, whatever has happened at the consumer, and if you can help me with that number. Okay.

Vishak Kumar : There are parts of our business where it has a benefit, especially brands like Peter England, brands like Reebok in apparel, etc. So, there is a benefit there. There are some parts of business, especially in wedding parts o

f business, there's a negative be cause those move from 12 to 18.
Overall, it's a small net negative, but not a significant one.

Sameer Gupta: Oh, okay. But in Lifestyle Brands , it would still be a benefit, right? Because overall discounted sales, I mean, the full price sell through, etc. I guess you had indicated sometime that 50 %-60% of the portfolio would be above and rest will be below. So, 40% of the portfolio has actually benefited. Something like that?

Vishak Kumar : It's like I said, it's product to product. So, let's say on t -shirts, it's a gain, on suits and blazers, it's not, etc. Altogether, blended weighted average with current sales ratio, it's a small negative. If some other parts of business grow faster, etc., it could be neutral also.

Sameer Gupta: Got it, sir. That's very helpful. Second question, sir, on the Innerwear and Athleisure segment . Now, this quarter has seen a double -digit growth, and this is growth after many, many quarters in this segment. Just wanted to get a sense on what has led to this turnaround after so many quarters of business.

Vishak Kumar : So, I think a lot of initiatives which have been in the business, they are coming into function now. So, one of the biggest things which has happened, Sameer, is the kind of retail likes -to-likes that we've had. We've been fine -tuning our retail model for Innerwear , and retail likes -to-likes have been north of 30% in this side of business, even YTD if you look at it, it's been a very, very strong 25 -plus percent likes -to-likes that we've had in this business.

So, that has also improved overall profitability because the retail profitability, retail viability is a lot better with that. We've also done various initiatives around product innovations, other things around methods of replenishing with distributors, va rious things which are going on, which are intrinsic and hence likely to stay in the business.

You recall that we've also had some quarters of inventory correction, which was a tough phase that we had to go through. Most of that is behind us, and with that, what happens is you're able to infuse a lot of freshness of merchandise into the market. That also spurs growth further. So, I think it's maybe a few more quarters of just fine -tuning that model, and then it should be able to take off on an even stronger growth trajectory.

Sameer Gupta: Got it. And you would still attribute this as most of the initiatives that your end? Industry is still where it was. There is no real change there.

Vishak Kumar : I don't think so. I mean, if you're saying are there significant tailwinds in this category, not yet. But again, to the earlier question that you had, GST helps this side of business also. So, some of the impact of that should also start from here.

Sameer Gupta: Sorry, I didn't get that. Impact of what?

Vishak Kumar : The GST change. Again, for a lot of parts of business, etc., it's a good thing for this part of business.

Sameer Gupta: Got it, got it. That is something helpful . And lastly, sir, if I may squeeze in, I think Gaurav was also trying to ask this. So, the wholesale under Lifestyle Brands , that has seen a growth of 21%, and past two quarters has been subdued. Before that, it was good. Pre that, it was a decline. I

mean, is there a change in strategy here? The segment has been a bit up and down in the past few quarters.

Vishak Kumar : So, two , three things. One is , we had the base effect of Centro and the transition that we went through in Centro in the past. That is out of the base now. So, you will see, in that sense, a more apples -to-apples comparison. Beyond that, there is also the strong secondary sales growth which we've had in the last few quarters, which is helping us.

So, those are some of the factors which
are going in.
Likewise, on the e -commerce side of business, we went through one phase correction, a lot of
things that we did to sharpen the model. A large part of that is also done, and that also, again, is
reflecting in the numbers.
Sameer Gupta: Just for my understanding, sir, on the wholesale piece, this is a mix of consignment as well as
outright sales, or now it's primarily outright sales that you book in this ?
Vishak Kumar : Can you repeat that, Sameer? I'm so sorry.
Sameer Gupta: So, what I mean is that the wholesale channel, the sales, the way you record it, is it on a
consignment basis? You record the end consumer sales and the inventories on your book till that
end, or do you book the sale to the distributor and to the retailer with a margin? How does it
work?
Vishak Kumar : So, we recognize revenue when we sell to our customer. Our entire terms of trade are built
around that, that we recognize revenue when we sell to the partner. Sell to the partner, not the
end consumer? In retail consignment, retail sales, we recognize that when we sell to end
consumer. In the wholesale side of business, we recognize revenue when we sell to the partner.
Sameer Gupta: Got it, sir. And there is no change in the accounting over the years? This has always been the
case?
Vishak Kumar : No, no. Always been the case. In fact, we are extremely conservative in the way we recognize
revenue, in the way we recognize dormancy, all of that. So, no change in the way we recognize
revenue.
Sameer Gupta: Got it, sir. Got it. That's all from me. I'll come back in the queue for any follow -up.
Moderator: Thank you. The next question is from Devanshu Bansal from Emkay Global . Please go ahead.
Devanshu Bansal: Hi, Vishak. Thanks for taking my questions. So, first question is on retail channel growth. If we
compare this growth with some of the other players that have reported so far, it's a tad weaker.
Even the LTL that we've reported is running a tad weaker versus the other players. So, I just
wanted to check within the marketplace, what is leading to this weakness for our brands?
Vishak Kumar: If you split the brands in the market into brands which have a significant wedding impact versus
brands which don't have impact on wedding calendar, in our own portfolio, you'll see that.
Whether it's on Reebok, whether it's on American Eagle, it's on Inn erwear, they would have all
had very, very high aggressive double -digit secondary growth, L2L growth.

Parts of business which have had a greater dependence on weddings, the calendar evaporated
after 5th December. So, you see the impact of that. So, it's more of every thing. If you look at our
retail sales, YTD December, it's still double -digit. It's at 10% for Lifestyle Brands itself. So,
some of it, you get the benefits of calendar in some quarter s, you don't in the other. Even if you
see it for the overall industry itself, you'll see that pattern for brands which have a greater
dependence on weddings.
Devanshu Bansal: That's fair, Vishak, but I was checking from a nine-month perspective also. So, if we see our
retail sales growth has been a tad weaker versus what other players have reported. So, even on
a nine…
Vishak Kumar: No, it's 10% like -for-like. 10% like -for-like in three quarters, which is YTD.
Devanshu Bansal: No, that is like -for-like, sir, but from a consumer perspective, I guess, it's the retail channel
revenue growth which matters, right? So, like -for-like is okay, but from a market perspective, I
guess, the overall growth is a better metric to track your market share. So, that growth has been
a tad weaker versus what other players have reported, and the difference is almost to a tune of
500-600 basis points.
Vishak Kumar: No, I don't know. Our YTD retail overall would al

so be about 8%.
Devanshu Bansal: Yeah, the other I was referring to, if you want, from an Arvind Fashion perspective, they reported
almost 13% growth in nine months, right?
Vishak Kumar: So, possibly, and maybe we could look at comparisons, etc., but all I want to assure you is that
in our brand, we are at a like -for-like of 10%. To the question Archana asked earlier, some of
the impact of the retail expansion will start showing now. This quarter itself was a significant
impact of net expansion that you will start seeing in the overall growth.
Q4, we'll see that even more, where there is about a 90 -net store addition that you will see. So,
if you look at it, we will enter into next financial year with a 150 -store larger network than last
year. That itself, broadly, is a 5% extra business in reta il that you will have next year.
Devanshu Bansal: Sure, sure. And Vishak, just one bookkeeping understanding. So, your rent expense, which is
largely franchisee commissions, in my opinion, has been on a declining trend by about 100 -150

basis points, both in Q2 and Q3, right? So, what is driving this change? As in, are we shifting from franchisee stores to company stores? Is that leading to this change?
Vishak Kumar: Not really. So, look, it's a network of stores with a balance of FOFO stores and COCO stores. So, we've been driving a lot of initiatives around cost reductions. Also, you must recognize that when you had a retail network which has grown 10% on like -for-like, whereas your store costs grew at about 5 %-6%, so that also gives you the cost leverage.
Devanshu Bansal: But this is a commission, right? This must be percentage of sales.

Vishak Kumar: So, we have a significant number of COCO stores where we pay the rents directly and an equally strong network of franchisee stores where it's a percentage commission. Where it's a percentage commission, the percentage doesn't change. It helps the franchisee to make a better ROI.
Devanshu Bansal: But this in the P&L rent expense that we report, this is largely the commission paid to the franchisees, if you could confirm that, right? In the reported P&L, th is is the franchisee commission?
Dharmendra Lodha: Largely, it is the variable rent. So, it is both franchisee commission as well as the variable rent which you pay to malls.
Devanshu Bansal: Yeah, that was my question. So, why is that as a percentage of sales that you think?
Vishak Kumar: Is that question answered now? I think it's the operating leverage of having a higher like -to-like sale which is what is bringing that down.
Devanshu Bansal: Sure, I'll take this offline. Maybe I'll take this.
Dharmendra Lodha: Devanshu, it will be better if you connect offline. We'll explain to you.
Devanshu Bansal: Sure, sir. No issues. Sure, sir. No issues. Thank you.
Moderator: Thank you. T he next question is from Ankit Kedia from Phillip Capital. Please go ahead.
Ankit Kedia: Two questions from my side. In the quarter, we saw gross margins decline marginally. Industry trends suggest that the discounting is actually reducing and you have also done that. You can see that in the channel checks. So, what is leading to this gross margin decline?
Vishak Kumar: Not sure where you're seeing gross margin declining, Ankit. Where are you seeing that? Because actually, our gross margins have stayed fairly healthy. Dharmendra, you want to respond to that?
Dharmendra Lodha: So, Ankit, the COGS for corresponding Q3 FY '25 was 41.1. This time it is 41.4. It is of the overall business including Lifestyle Brands plus various other businesses. So, I think this is a composition of various business lines.
Ashish Dis khit: It is more of a business mix than any shift.
Ankit Kedia: So, if you can highlight in Lifestyle , what is the gross margin expansion we are witn

essing due
to lower discounting and which business is actually dragging the gross margin down from the mixed perspective?
Dharmendra Lodha: Okay. This is at the published result level. Lifestyle, I have to dig out separately. We can connect separately.
Ankit Kedia: Sure. My next question is on Innerwear . We have seen strong growth in the Innerwear category. What is leading to this growth overall and what changes are we doing in the Innerwear category from a medium -term perspective?

Vishak Kumar: So, Ankit, Sameer asked a similar question. So, let me just tell you that two or three things are happening which you should see the benefits of that. One is, of course, the sales growth that you have seen. And like I was explaining earlier, as inventory freshness improves, the health of overall inventory improves, etc., that is giving us a good impact. That is also giving us a significant impact on profitability. In fact, our losses in this business this qua rter have halved. So, that is again something that is reflected in the overall numbers. The other, like I was explaining to Sameer, very significant improvement in retail performance. So, retail like -for-like and likewise in department stores, etc., very strong same -store p erformances that we have had, which have brought down the fixed cost as a percentage of sales, resulting in both overall growth as well as improved profitability.
In addition to that, Ankit, we are running a lot of initiatives around quality of replenishment mechanisms to distributors, running pilots around a lot of new product initiatives, many things which are going into driving overall traction in this category. So, a lot of those things are falling in place quite nicely, Ankit.
Ankit Kedia: So, over two years, if I have to see, do you think you can have a mid -single -digit margins by FY '28 in this business? And what will be the EBO strength if I have to see from a medium -term set

two years out? Given that now unit economics is set for the business, product is new, everything is changed.

Vishak Kumar: Yeah. So, Ankit, first question, the FY '28 I hope is going to be a profitable year. I don't want to comment on what kind of profitability, but I'm hopeful that FY '28 will be a profitable year.

I think that's the kind of trajectory that we've built for ourselves right now. Yes, you're right on the network part, the retail network. We have got a reasonably robust proof of concept now.

We also want to strengthen further the partner -driven model here. Here's a model which can work nicely through distributors, neighborhood catchments, tight shop stores which have a nice shop assortment which is relevant for that neighborhood. Some of those also we are working on different sizes and formats to be able to scale that.

That can be a pretty significant exponential scale -up. I don't want to put a number on that now. But by and large, you should expect to see a significant scaling up of the retail network.

Ankit Kedia: And it's been more than a decade now we are doing this business, right? And we have had cycles. What gives you confidence now this change what we are doing is there? Because some of the D2C startup brands both on athleisure and Innerwear side have started to become aggressive ? While some have also closed shop, but we are seeing new competition also emerge. And the market leader is slowing growth and some of the private labels have also started to do well. Now, the changes which you are talking of, how confident that these are the right changes to be done in the market now?

Vishak Kumar: I think the first thing is the biggest thing which gives me confidence personally is the consumer acceptance of this brand and this category. I think the consumer stickiness on those who ever tried the product , is very high. And that gives us treme

ndous confidence. So a lot of initiatives

by which we have been able to generate trials, they have all translated into secure business with consumers. So that's the first thing.

Second is I think it's a fairly well -established distribution network with the kind of distribution points that we have got, with the kind of retail presence that we have got, presence in department stores, etc. I think it's a fairly strong network which is also getting steadily more well -oiled machine kind of thing in terms of replenishment.

This you know is Ankit, it's a sticky replenishment business. So you know as you keep getting better and better at that process and the wheel is nicely balanced, it's a nice flywheel that works for you. We are fairly close to that in my sense. So you know I would say that some of the last few years learnings also come in handy in terms of making sure that we do the right thing going ahead.

Ankit Kedia: And between athleisure and Innerwear , would it be 30 -70 or would athleisure be a higher percentage for us?

Vishak Kumar: Let me take exact numbers, maybe we just put that together. But broadly you'd be right, but let me not make a mistake on that. So I'll give you a sharper number, Ankit.

Management: No worries, you can take the next question and answer in between.

Moderator: Thank you. The next question is from Rajiv Bharati from N uvama. Please go ahead.

Rajiv Bharati: Good afternoon, sir. Thanks for the opportunity. So continuing on the Innerwear piece . If you can clarify what is the GT channels contribution in your entire mix?

Vishak Kumar: When you say GT, you mean the trade, right?

Rajiv Bharati: The trade, yeah.

Vishak Kumar: Just one second, I'll give you an accurate number.

Dharmendra Lodha: It's around 50%. A little less than 50%, yeah.

Rajiv Bharati: Got it. And the other part is in terms of the capex number which you've highlighted, the INR330 crores , can you split between your Lifestyle brand and emerging brand s? How does it stack?

Vishak Kumar: The lion's share would be for the Lifestyle Brands. Probably 80% of that spend would be Lifestyle Brands, maybe a little more than 80%. We've invested a lot, both in terms of expansions and renovations. We've also made stores larger, created stronger shop facades, etc. So it's a fairly significant impact on the Lifestyle side of business.

Rajiv Bharati: And you made one comment and there's an opening remark in terms of, you know, you're looking for a steady growth. Assuming that you look for, let's say, 10% growth on the top line on a conservative basis for the entire piece, then on the back of that, and the comment which was made was that, you know, the emerging brands will become one -fourth of the turnover in five years out. That means you're projecting for, let's say, 20% kind of growth on the emerging brand

side with bulk of the capex routed on the Lifestyle Brands . I mean, how does, is this that capital light, the emerging brand category?
Vishak Kumar: So two, three responses to that, Rajiv. So first is that the emerging business is still on the lower base. So relatively speaking, it right now needs lesser capex . But we are not averse to adding more for that side of business as well as we scale up there. And personally, between you and me, and I've said this earlier as well, I'm hoping more for a 12% kind of a steady state growth. And we should aim for that. We will have pluses and minuses over quarters. But we should be able to drive something closer to that. And definitely Innerwear , Reebok, these types of businesses have a very large role to play in overall driving because there the business itself is relatively small and we should be able to scale up much faster in that side of bus

iness.
Reebok has had a very good quarter and the momentum looks very good. We've already doubled our network from what we got on Reebok. We should exit this year. We've already 200 plus. We should exit this year with 230 plus stores on Reebok. And I think there is still a very large set of markets which are available for putting up stores on Reebok. So I think a lot of questions have been around Innerwear . There are various other parts of business which are also poised for fairly strong growth.
Ashish Dikshit : I think also just to add to that, we have a fairly large distribution of Lifestyle brand stores. And a significant part of our capex goes in renovations and upgrading those stores. And therefore in absolute terms, because those number of stores are so much higher and the emerging businesses are relatively newer, they have less renovatio n needs.
That's also another reason why the current capex, that won't be the case all the time, is significantly higher in Lifestyle Brands .
Rajiv Bharati: Sure. So thanks for this 12% number. So if I reverse work, the number becomes 24% for the rest of the category. So what is the network addition and the SSG assumptions in this?
Management: So on a steady state, and we have said this earlier this year as well, 6 %-7% of like for like is what we should expect. In the Lifestyle side of business. And the rest of the growth comes through expansion. Of course every year is not going to be the same. But let's say in a 3 ,300 store network, if you're able to add even say 200 stores, that is 5 %-6% growth that is coming out of network expansion , in that side of business . I think there is headroom for at least three -four years of growth like t hat in terms of network expansion.
Rajiv Bharati: So I was asking from let's say youth brands and Innerwear segment.
Management: Okay. There the headroom for growth is even stronger, Raj iv. Because let's look at it this way. If a brand like Louis Philippe has a network of 500 plus stores, there is no reason why a brand like Reebok cannot have more than -- In fact, a category like that can have an even larger play in terms of network size. So in that side of business, it's even more aggressive growth possibilities that exist.

Likewise in Innerwear , there is also the possibility of many more, the opportunity of many more neighborhood markets as well. So there again the headroom is much larger beyond the part around what you would call GT or General Trade.
Rajiv Bharati: So just one last question on Innerwear . Has there been any price hike?
Management: Sorry, Innerwear ?
Rajiv Bharati: Has there been any price hike on the entire Innerwear portfolio?
Management: No, actually we passed down the GST benefits to consumers. So you would have seen that a lot of segments which had a 12% which moved to 5%. So we passed that on to consumers.
Rajiv Bharati: Sure. That's all from my side. Thanks a lot and all the best.
Moderator: Thank you. The next question is from Tejas Shah from Avendus Spark Institutional Equities . Please go ahead.
Tejas Shah: Hi, thanks for the opportunity. Sorry if I'm repeating the question, but I logged in a bit late. Can you provide some regional color on the Lifestyle Brand performance? Specifically, are we seeing any demand pressure in urban IT heavy markets, let's say Bangalore, Hyderabad, Pune?
Vishak Kumar: Okay, hi Tejas. Yes, we missed having the first question from you. Just to give you some color, why is that, Tejas, this year, small towns have had a good run. So while I can't give you regional, there haven't been too many regional biases, but clearly small town India ha s had a good run. You know that small town India went through a few tough quarters. This year, our own same store growth pages in small town ITG would be about 13 %-14%. Okay, so s

mall town India has
a much stronger run. Other than that, I can't point out any region s specifically which has grown more or less.

Tejas Shah: Perfect, very assuring. Again, Vishak , you spoke about the Lifestyle portfolio. Lifestyle portfolio has a very strong loyal base of customers, but the growth is moderating and it's actually, the answer is there. It says that it's a very mature portfolio. Actually, the size is huge in terms of both distribution and in the absolute numb er.
So what are the biggest or where are the bigger white spaces? Is it new formats, locations, geographies that can actually help us to go into, let's say, double -digit growth sustainably and not this just one or two low -base, high -base kind of triggers?
Vishak Kumar: It is a simple answer. All of these that you said and a few more. Think of very, very large brands. Fashion business doesn't have a billion -dollar brand. Most other categories have very, very large brands. So let me put it this way. Take a brand like, say, Louis Philippe, which has 500 -plus stores.
The opportunity for a brand like Louis Philippe in India should be about 1,500 stores. So maybe the methods of opening these stores, the formats, will have to be more nuanced, will have to find the right regional assortment requirements, etc. But we've bee n figuring formats which have

worked. There have been formats which have been more casual -driven, formats which are more wedding -driven, and so on, which have worked fairly well.
We have also created, we just put a bridge -to-luxury store from Louis Philippe called Philippe, which we opened in DLS Promenade in Delhi, which has again been off to a very good start. So a lot of new formats, new segments, new usage occasions with consum ers as they emerge, again, are other growth possibilities.
Other parts of business, women's wear, again, is another. In two of our brands, we have very meaningful women's presence, whether it's in Van Heusen or Allen Solly. So that is, again, another opportunity for growth. So there are various segments. So there is, of course, distribution and presence, etc. Many of our partners are also looking at aggressive growth plans.
Some of the department stores are looking at growth plans. That adds to that. The e -commerce space, also with quick commerce, is also driving consumption. There is opportunities for growth there. So I would say, yes, while it might look like, look, these are large brands, I still think these are very early days in the evolution of these brands.
Tejas Shah: My next question pertains to Reebok. From day one, since we acquired, it looks very promising. And then when we look at the other player numbers also in this space, that's actually very, very healthy. And then you also called out there's a huge opportunity to expand footprint as well.
So what is the limiting point as of now? Is it that the brand product market fit is yet to be established before we scale it up very fast? Or the route to market itself is not very clear as of now before we scale it up?
Management: Okay, Tejas, just to give you some facts here, we've more than doubled our business in the last three years in Reebok. We've more than doubled our business. In spite of all the market challenges or whatever that might have been, we have more than doubled our business. We have more than doubled our network. By the time we exit this year, we'll be close to triple of the network that we had inherited. So it's been at a fairly significant pace, but you would argue it was on a small base, and you're right.
So the good news is that we're still relatively on a small number, and hence the headroom for growth is quite significant. Let's look at what are all the things which are going into the mix which have to make this faster growth happen continuously. First is on product

assortment itself.
So a lot of very good work has happened in Reebok across categories. Reebok, which was in its early years in India, very, very strong across multiple categories, had got limited to largely lifestyle kind of footwear b efore we took it over.
As we've gotten into this segment, and we've added a very strong line of walking, very strong line of performance footwear, some very, very good running shoes in the segment. In fact, we have some very top quality, most of the running shoes in India, carbo n-plated running shoes are all about INR10,000 . We've got very nice carbon -plated running shoes at INR9,000 and so on. So there's a very strong assortment of footwear that we've been able to generate. There's also a big lever for growth. We've been able to leverage our expertise on apparel creation an d apparel

product designing, et cetera, very strongly. When we took on the brand, the apparel contribution was about 25%. Today, it's a little more than 36% already. That has again driven growth.
But I still say that there are many segments which we can do even more of. So that is again

driving growth. Then there is network, and we've still only scratched the surface on network. There is a very large opportunity which exists on geographical markets that we will scale to. So it's very, very exciting times in this segment. I also think consumer acceptance, more and more health and fitness is becoming even stronger as market trend. So this is an interesting time to the Reebok .

Tejas Shah: Thanks. That's all from my side.

Management: Thanks, Tejas.

Moderator: Thank you. The next question is from Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Hi. Thank you for taking my question again. Hopefully, I'm audible this time. Just one question now from my end. Just one question on my end from the margin front. You know, the other segments that is the Reebok , innerwear, et cetera, business together, is now showing a very good decent margin this quarter around?

So if you can break it, how this improvement was and how much sustainable this is going ahead, given that, you have also mentioned that innerwear business losses are halv ed now. So when can we expect this business to become profitable? And where are the other pieces of the business on the profitable journey?

Vishak Kumar: Okay. Gaurav, I think we answered that partly when Ankit asked and Sameer asked that question. But let me attempt that again. So one is that I'm hopeful that at least we have one quarter next year, which is a profitable quarter on the innerwear business. And that should be, hopefully, the beginning of another era for that side of business. So that is on the profitability part.

And a lot of things are happening which lead to that. The biggest thing from a margin improvement perspective is selling expense improvements. So we've managed to significantly streamline selling expenses. Cost of doing business in that sense has improved. And that should continue over some time. As the health of inventory improves, that also improves realizations. That is, again, something which is giving us gains. And that is a flywheel which should keep getting better over time. Overall, also, as overall scale improves, the leverage of overheads and all other costs also then improves. So we should see these improvements over the next few quarters as well, Gaurav.

Gaurav Jogani: Just one thing. While we understand the innerwear business turning from losses to profitable will be a bigger driver for the margins, but how about the scale -up of the margins in the American Eagle and the Reebok part of the business as well? How that will shape up? And in that context, how can the margin expansion look like in the next few years?

Vishak Kumar: I'll separate American Eagle and Reebok. American Eagle is fairly… How do I say this? It's a very robust business, but doesn't have the same growth opportunity, let's say, as Reebok has. It'll grow steadily. It'll grow steadily, hopefully double -digit growth. And it'll continue to have a very good space in market for consumers. And it'll m ake decent money as we do that.

Reebok has a much greater room for exponential growth. I think that's the segment where you should see very, very aggressive growth in times ahead. And like I was explaining to Tejas, right through both product categories as well as channel markets, there is a very large growth opportunity that we should see. As that happens, a lot of leverages also come into play, which should also make the business more profitable as we go along. Does that answer your question, Gaurav?

Gaurav Jogani: Yes, yes, that does. Thank you.

Moderator: Thank you. The next question is from Kunal Bhatia. I'm sorry, Kunal Bhatia has dropped off. We'll move to the next questio n. The next question is from Jay from HDFC . Please go ahead.

Jay: Yeah, hi. Thank you so much for the opportunity. I joined late, so apologies if some of these questions have already been answered. On the Lifestyle bit, to begin with, you guys ha d nearly 100bps margin expansion?

Now, this is despite wholesale and online, growing two times the pace at which the core retail grew. I was just wondering how come this happened? What were the levers which helped you get there?

Vishak Kumar: Jay, s o yes, you're right. We did discuss this. So basically, it's coming from reduced selling expenses through better leverage. So as your same stores grow better, that gives you a better margin expansion. I think we've also been able to drive a lot of cost reduction initiatives across the business, including product costs, supply chain costs, etc etera , through the organization, which have also made us get some benefits in terms of margin expansion. So the question is, is it a one -off?

Sure, in terms of this quarter is a good quarter, so sure, it's there. And in fact, like Dharmendra said, it's our best -ever quarter in terms of margin improvement in the lifestyle business. But is it sustainable? To a fair extent, it is sustainable. Apart from the quarter -to-quarter seasonality, it's fairly sustainable, what we've got here.

Jay: Well, thanks. The other bit is on the emerging businesses, especially the in -a-way bit. Now, through our channel checks also, at least that's what we kind of picked up, and maybe we were wrong.

But for the longest time, the assortment, at least from a price point perspective, were quite divorced from what we really wanted. Now, have we fixed this, or how close are we in fixing it? Where are we in that journey of kind of marrying them together?

Vishak Kumar: Okay. So, you know, it's a huge country with a very, very large -- we operate with some 1,000 outlets, which are a universe of -- and the universe is actually larger, which is there in the trade

side itself. And, of course, there are different kinds of retailers with different assortment preferences. The most critical thing to do well here is replenishment and predictability around replenishment.

Once you crack a set of winning products, the market wants you to then just keep replenishing extremely. It's in some way almost a boring business, where you just want extremely high predictable replenishments again and again and again. As you keep getting better and better at that, your appeal with the channel also keeps getting stronger.

Sure, there are more price -sensitive markets, and we have assortments which address that. So, for instance, we have a Classic Plus line, which is a sharper price product. So there are assortments which are unique to different needs of market,

which are addressed. But I would still say the larger lever is extremely , you know, have a solid set of products. We have a damn good product.

We have a very high -quality product. Fit is great. The repeat consumer behavior is very strong. Now, just making sure that it is well replenished with very high degree of predictability becomes a very critical leverage.

Moderator: Thank you very much. We'll take that as the last question. Ladies and gentlemen, on behalf of the management, we thank all the participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi . You may now disconnect your lines.

Call: May 2026

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May 11, 202 6

BSE Limited
Scrip code: 544403 National Stock Exchange of India Limited
Symbol: ABLBL

Sub.: Transcript of Q 4 FY26 Earnings Call of the Company
Ref.: Regulation 30 (read with Schedule III - Part A), of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015
(“Listing Regulat ions ”)
Dear Sir/ Madam,
Pursuant to the above referred Listing Regulations and intimation dated May 4, 2026 , the transcript of the Q4 FY26 Earnings Call held on May 8 , 2026 is annexed herewith .
The above details along with the audio recordings of the Earnings Call are also available on the website of the Company i.e ., www.ablbl.in.

Thanking you.

Sincerely,
For Aditya Birla Lifestyle Brands Limited

Rameez Shaikh
Company Secretary and Compliance Officer
A249 39

Encl.: As above

“Aditya Birla Lifestyle Brands Ltd. Q4 FY26 Earnings
Conference Call”

May 08, 202 6

MANAGEMENT : MR. ASHISH DIKSHIT – MANAGING DIRECTOR ,
ADITYA BIRLA LIFESTYLE BRANDS LIMITED
MR. VISHAK KUMAR – DEPUTY MANAGING DIRECTOR

AND CHIEF EXECUTIVE OFFICER , ADITYA BIRLA
LIFESTYLE BRANDS LIMITED
MR. DHARMENDRA LODHA – CHIEF FINANCIAL
OFFICER , ADITYA BIRLA LIFESTYLE BRANDS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the 4th Quarter Earnings Conference Call of Aditya Birla Lifestyle Brands L imited .
The call will begin with a brief discussion by the Company's Management on Q4 FY26 performance followed by a question -and-answer session.
We have with us today Mr. Ashish Dixit – Managing Director, Mr. Vishak Kumar – Deputy Managing Director and CEO, Mr. Dharmendra Lodha – CFO.
I want to thank the Management Team on behalf of all the participants for taking valuable time to be with us. I must remind you that today's discussion may include certain forward -looking statements and must be viewed, therefore, in conjunction with the ri sks that the company faces. Please restrict your questions to the quarter’s performance and to strategy questions only. Housekeeping questions can be dealt separately with the IR team.
With this, I hand the conference over to Mr. Dharmendra Lodha. Thank you and over to you, sir.
Dharmendra Lodha: Thank you. Good afternoon, everyone. Thank you for joining us today. I would like to welcome all of you to the Q uarter 4 FY26 Earnings Call for Aditya Birla Lifestyle Brands.
As we reflect on the quarter, consumption trends remained broadly stable during the initial months, although wedding -led demand was somehow uneven owing to a softer wedding calendar compared to last year. Towards the lat ter part of the quarter, consumer sentiment moderated due to geopolitical uncertainties and heightened market volatility. Despite this near - term softness, overall demand trends remained resilient in line with Q uarter 3 FY26.
Against this backdrop, ABLBL delivered another strong quarter of double -digit growth driven by healthy performance across channels. Expansion momentum also remained robust, building further on the strong sales witnessed in last quarter, while emerging brands continued to see encouraging recovery and regained a sharp growth trajectory.
Now, moving to the Q4 FY26 financial performance of our business :
ABLBL revenue grew 12% YoY to INR 2,174 crores led by strong performance across brands and channels. Lifestyle Brands grew 11% YoY , while Emerging Business segments were up 18% versus last year. Overall, business delivered 6% Retail like-to-like growth for this quarter. Other channels also sustained strong momentum continued from last quarter, with both e - commerce and departmental stores delivering double -digit growth.

Consolidated EBITDA was up 14%, reflecting continued strength in our operating performance. In absolute terms, EBITDA stood at INR 375 crores, compared to INR 330 crores in the same quarter last year.
EBITDA margin expanded by 20 bps, up from 17% in Q uarter 4 FY26 last year to 17.2% in Quarter 4 FY26 current year. Normali zed PAT is at INR 60 crores in Q uarter 4 FY26, growing 58% versus last year. Reported PAT is at INR 55 crores versus INR 38 crores in previous year. This includes a one -time exceptional item pertaining to labor code impact in this quarter.
Moving to the full -year performance :
ABLBL revenue stood at INR 8,396 crores, up 7% YoY . EBITDA grew 13% to INR 1,429 crores versus INR 1,269 crores in last year, with margin improving by 90 bps to 17%. Reported PAT was INR 171 crores versus last year's INR 60 crores. Normali zed PAT for 12 months stood at INR 209 crores, up 61% versus last year. This includes higher YoY depreciation of INR 40 crores on account of aggressive store expansion in FY26.
The pre-IndAS PAT before exceptional item this year stood at INR 313 crores.
Through business operations, the company generated operating cash flow (before CAPEX and security deposit) of INR 450 crores. A large share of this cash has gone towards funding aggressive store expansion during the year.
Net debt at year -

end stood at INR 726 crores versus INR 781 crores in March last year.
The Board of the company has also declared a dividend of INR 50 paisa per equity share within the first year of the company post -demerger.
Through the year, store expansion gathered strong momentum, culminating in new stores addition of 300 +, accelerated expansion supported by strong product market fit in new market

and deeper penetration in existing one, reinforces confidence in the long -term opportunity, with momentum expected to sustain on the back of robust pipeline across catchments.
At the end of this year, our footprint has expanded to 3,348 stores, spanning over 4.9 million square feet across nearly 800 cities and towns.
Now turning to our Lifestyle Brands:
The business delivered growth of 11% during the quarter, aided by broad -based traction across channels. Quarterly revenue for Lifestyle Brands stood at INR 1,829 crores with an EBITDA margin of 20%, with full -year revenue for this portfolio stood at INR 7,154 crores driven by

strong retail performance, with FY26 like -to-like growth of 8% . Margins stood at 19.6%, 20 bps higher than last year.
Overall Emerging Business portfolio comprising of Reebok, V an Heusen Innerwear and American Eagle now spans over 390 stores. Segment revenue grew at 18% and profitability improved by 420 basis points YoY reflecting positive operating leverage and continued reduction in losses in Van Heusen Innerwear business.
Reebok delivered 30% growth during the quarter, driven by strong retail performance. Since acquisition, the brand's full -year sales have more than doubled, while its network has expanded to over 210 stores. American Eagle continued its profitable growth tr ajectory, delivering double -digit like -to-like growth during the quarter. Van Heusen Innerwear also recorded double -digit overall growth during the quarter, again continuing its strong recovery trajectory. The business also witnessed a sharp reduction in f ull-year losses and remained on track to achieve break -even quarter by Q uarter 4 of current fiscal year.
This portfolio is expected to remain a strong growth driver for the company, with significant opportunity to scale these brands into mega -brands within the fashion and Lifestyle space over the medium term.
The year marked a strong start to being an independent entity supported by encouraging business momentum and several positive operating milestones across brands and channels. Our strategic imperatives are clearly defined, and our execution engine is ready. Going forward, our focus will remain on consistently executing the fundamentals well while further sharpening the consumer proposition and relevance in line with changing consumer needs.
The achievements through this year and the momentum we gained provides a strong foundation to sustain double -digit growth over the coming years, supported by a robust expansion runway across both established and emerging brands. Consistent execution and di scipline will ensure the quality of this growth, forming the moat of our business model.
We are now open to questions. Thank you.
Moderator: Thank you Mr. Lodha. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Shravan Vohra from Morgan Stanley. Please go ahead.
Shravan Vohra: Hello. Hi. Hi team. Thanks for the opportunity. I just wanted to check a bit on the demand side. Are you seeing any divergent trends among the four brands in the Lifestyle business or any divergent trends between the premium or the mass end?

Vishak Kumar: Hi Shravan. If you are saying in respect to Quarter 4 or if let's say if you look at it from a full year point of view, qua

rter -to-quarter there will be ups and downs across brands. But in general, all our Power brands , all our Lifestyle Brands have grown in a similar fashion. Each segment has its own both tailwinds and headwinds. And in that sense, they have cancelled out. So, by and large, they have had similar growth trajectories. High -single digit is the broad report card for the year.
Shravan Vohra: Got it. Thanks. And any update on Peter England Red? How it's doing? What is the strategy there now?
Vishak Kumar: Shravan, it's had a good run. Peter England Red and in general across our formats in small towns, we have had a good run last year. I think small town demand was pretty good last year, and it helped us to get back to double -digit growth in that. In fact, significant double -digit growth in these markets, including for Peter England Red.
Shravan Vohra: Got it. And just checking on Reebok, impressive performance in 4Q. What would be our strategy on Reebok in F27 on store additions? And also, if you could highlight our store expansion plans for F27 across brands, please.
Vishak Kumar: Yes, I think Reebok is on a good wicket in terms of momentum, but we have only begun. I think we still have a lot of catching up to do in terms of overall network. We have about 210 -odd

stores in the network for Reebok. The runway, as you can imagine, is much, much larger than that. So, that will continue. Reebok's growth is a combination of both like -to-like sales as well as network expansions. Network expansion will continue. 40 -50 stores per year for the next few years should be par for cou rse, unless we do more than that. That, I think, will continue. My own sense is that like -for-like also a lot of new products have kicked in, which are also fueling further like-for-like growth. We have just launched a very impactful campaign with Reebok Multi -Court Shoes , which is a breakthrough product, which is again off to a great start. So, my sense is that both like -to-like and expansion on Reebok should continue for some time to come. Overall also , Shaven network expansion across brands will continue . So, we have got a fairly robust pipeline of stores. If you recall, H1 of last year, we had a net negative expansion, but by the time we finished the year, we had a net positive of about 100 stores. We also have been able to build a reasonably good pipeline, which should start showing its impact this year. So, if you ask me, on network expansion, we will continue on the momentum that we built in H2 of last year and build it from there.

Shravan Vohra: Just last question from me. Any guidance you can give on the dividend policy and debt repayment plan going ahead?

Vishak Kumar: Ashish, you want to take that .

Ashish Dikshit: Yes. As you know, we had announced at the time of formation of company that looking at the predictable, consistent, historical cash flows of the company, we are very confident that this company over a period of time will become a debt -free company and equally will be able to pay dividends as it goes forward. Our journey on dividend, therefore, we decided that on year one itself, we will start although with a smaller dividend at this point of time. But we want to indicate that we feel very co nfident about the cash flow generations of this company to be able to pay dividend broadly in the range of close to 15% to 25% of net profit. Some years, it will be a little bit more. Some years, it may be a little bit less. So, that's really what we are indicating at this point of time. And as far as the debt repayment is concerned . ideally that this cash flow should make company debt -free in the next three years. But that's not something that we are chasing because a reasonable level of debt is not unheal thy for a company of this size.

Shravan Vohra: Perfect. Thank you so much.

Vishak

Kumar: Thanks, Shravan.

Moderator: Thank you. Next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi, sir, and thanks for taking my question. I joined a little late, so pardon me if this question has already been taken. Firstly, in the Lifestyle Brands , if I look at the channel performance, there is this others portion where there is a very high growth. Now, earlier it used to be e -commerce, and now you have segregated that. So, what does this channel pertain to, and why is there such a high growth here?

Vishak Kumar : Just one second, Sameer. I just want to make sure I am seeing the same number that you are seeing.

Sameer Gupta: INR 127 crore or something is the number.

Vishak Kumar : Okay. Beyond the channel businesses, we also have a contract manufacturing business, which we use to export to brands across the world. That has also had a good run during the year. We added a new large factory, so we have been able to create additional capacity, manufacturing capacity, and we were able to put that to good use with the growth in contract manufacturing.

Sameer Gupta: Okay. So, then when I look at Lifestyle Brands , I should exclude this others portion to look at the brand level sales. Will that be a correct way to look at it?

Vishak Kumar : The numbers you have given for Lifestyle Brands are given that way only, Sameer.

Sameer Gupta: Okay. But if I add the three channels, it comes down on 8 % to 8.5% growth, which is not bad, but it's still lower than 11%, right?

Dharmendra Lodha: This is also a branded business. Okay.

Vishak Kumar : We will give you a reconciliation, but the business growth, and if you take it apples -to-apples, is that 11%, Sameer?

Sameer Gupta: Sure, sir. Yes. No worries. Second question is on the cash flow generation, and it was partly taken up in the previous question, but what I noticed is that the net debt number has come down by around INR 50 crores , INR 60 crores. Yes. We have generated a free cash flow of around INR 200 crores, minus the interest on the debt is around INR 130 crores , INR 140 crores. Now, with a CAPEX of INR 300 odd crores, and there is an increase in working capital of INR 100 crores, if I just look at the cash flow statement, how do we generate enough cash to then pay debt going forward, unless we improve margins at a high level? Is there a scope to reduce working capital from where it is right now, or that is something tha t is difficult given the channel salience will be predominantly going towards retail? Just trying to understand this.

Vishak Kumar : I think, fair question. Simple answer, is there juice for improvement on working capital? Answer is yes, and we do plan to do that this year. Last year we also, like I said, we had created additional manufacturing capacity, and as you know when you have capacity, capacity utilization becomes an important metric. So, we had pre -produced some of our core products, et c. So, to that extent, we will not need to produce that inventory this year. So, we should be able to release some working capital out of that. So, part of our goals of this year is to be able to tighten that so that we are able to release more cash. The momentum on CAPEX will continue. So, while there will be some overall reduction in CAPEX , we will continue to be aggressive on CAPEX . Of course , a lot of our expansion is also going to come from partnered expansion, franchise store expansion. So, the overall momentum will be strong, while the requirement for CAPEX will be slightly lesser than last year.

Sameer Gupta: Any guidance here on CAPEX ? So, INR 325 crore is what you have done this year. What do you plan to do, a ballpark number?

Vishak Kumar : About INR 3 00 crores. So, we will continue with that kind of momentum. There is still a lot of growth opportunities

in the market, so we will continue to drive that.

Sameer Gupta: Got it, sir. I will come back in the queue for any follow -ups. Thanks a lot.

Moderator: Thank you. Next question is from the line of Abhijeet Kundu, from Anti que Stock Working Limited. Please go ahead.

Abhijeet Kundu: Yes, thanks for the opportunity. My question was on Lifestyle business. Here, the retail LTL has been at about 4%. So, if we have to look at this quarter, generally fashion retail relatively has done well when we compare it to the previous quarters. So, beyond this quarter, how has been

the scenario, just qualitatively, and what has been your understanding of the quarter because how do you improve the retail LTL? How do you see going ahead the retail LTL will improve? That is something, because what I am looking at is on the base of Lifestyle business , which has gone through a mutated phase.

Vishak Kumar: Yes, so if you look at our full -year life -to-life, it's about 8 -9%, okay, on Lifestyle business . Our Lifestyle business , as you know, has a greater dependence on the calendar, especially the wedding calendar. So, some ups and downs are to be expected just from a wedding calendar point of view. But on a steady state, I mean, for the full year last year, I think we delivered 8.5% - 9%. So, we are in that 8%, 9% zone for the full year. Going ahead also, I think there are enough initiatives in place . We have projected for the next few years that we should be able to grow at an LTL of about 7%. I think that momentum should continue for the business, and there are enough initiatives in place to be able to drive that. There will be some higher quarters and some lower quarters, but by and large, that's what we are driving here.

Abhijeet Kundu: Okay, and where would be the store additions that you have talked about, 230 -plus stores , which brand or where would be the focus?

Vishak Kumar: Like I was telling Sameer earlier, at one level, there is brands like Reebok where there is huge catching up to do, and we will do that where there are a lot many more whitespaces in the market. But even if you look beyond that, across the country this is a continuous process of new malls, new locations emerging, and we will tap into those, including a lot of existing locations where there is a potential for a second store or a third store, etc., and we will do that as well. Plus, small towns have b een a good source of growth for some parts of our business. We will continue to do that. New residential markets which emerge in big cities, that will also be a part of the growth ambition. In many markets, we have a store. Can we make the store bigger? We have got something called Project Stretch by which we see how we can have larger stores in the same location, so that will also happen. So, it will be a combination, Abhijeet , of all of these by which our expansion will happen. Is there any brand where we will do open more or less? The way it works is each brand charts out its own whitespaces , and there is a fairly large whitespace list on each brand, and then the brands go after that.

Abhijeet Kundu: And last one thing. I think it is not much relevant to you, but just for the record. Does the sharp increase in crude derivative affect you in any way? Because you are moving on the premium price, your cotton, polyester dependence would be lower. So, just that.

Vishak Kumar: But if you want me to answer that, I think the simple answer is yes. There is a correlation in prices, so our sourcing teams are constantly looking at ways to mitigate impacts of any cost increases. We will continue to do that. But simple answer, yes, crude has an impact on polyester. There are a lot of our product categories which have very modern handwriting, which have polye

ster. A lot of bottom weights have polyester in them. So, that is there, and it's real. We are constantly looking at ways by which we address impacts of that. Simple answer, yes.
Abhijeet Kundu: And what could be the probable, I mean, broad impact, percentage wise, if you can?
Vishak Kumar: I think we will have to take it as it comes, because some of this is very fluid right now. We also have fairly strong positions we have already taken for our autumn -winter buying , etc. Those prices are locked already, because a large part of our autumn -winter buying we complete in January, February. So, some of that is already there. So, we will have to see for seasons ahead of that, and some parts which are still open to buy those. So, it's not a direct answer, Abhijeet , of what happens today in cost versus what it will impact us. So, we will have to take it as it comes, Abhijeet .
Abhijeet Kundu: Understood. Thanks. Tha t's it from my side .
Moderator: Thank you. Next question is from the line of Kunal Bhatia from Dalal and Broacha Stock Broking Ltd . Please go ahead.
Kunal Bhatia : Yes. Thanks for the opportunity. So, I just wanted to understand in terms of the store expansion. So, what is it that we are looking out? Are we planning to have more of a Tier-2, Tier-3 kind of expansion? Are we still looking at the metro kind of an opportunity for our brands? Secondly, a related question is how feasible are we getting, say, real estate or things on rent? Are those things difficult in terms of getting the right expansion going forward? If you could throw some light on these two points.
Vishak Kumar: Yes. Kunal, I will build on what I said to Abhijeet earlier. So one, of course, our momentum will continue across various kinds of markets. I will tell you , for instance, yesterday we just went through an event with the Phoenix Group where they are launching new malls in Chandigarh. They are launching new malls in Thane and so on. So, every city is going through a lot of expansion. Phoenix will open in Kolkata. So, we will go through wherever real estate opportunities come up like that, and a lot of that will be in big cities. Some of that will be in mid-town s. Some of that will be in smal l towns. That momentum will continue. Also, because of the kind of portfolio and the relevance of our brands, we are also very close partners for a lot of people who create real estate, and we work closely with them. So, it allows us to be able to get the most of the opportunities in the market, and we will continue to do that, Kunal.
Kuanl Bhatia: And also one bookkeeping question, sir. What explains the difference between the raw material cost on the standalone and the consol end because your raw material cost is higher on the standalone business vis -à-vis on the consol. Could you explain the math’s, please?
Dharmendra Lodha: This is an elimination between our subsidiary companies. We can explain you separately offline.

Kunal Bhatia : Okay. And finally, in terms of the margins, do we believe the margins , this is the peak what we have seen as far as the Lifestyle Brands are concerned, or is there still some space to grow in here?
Vishak Kumar : So, Kunal, let's look at where all can leverage come from. At one level, leverage is the better the retail like -to-likes are, there is juice in terms of cost leverage around that because a lot of real estate is fixed cost. So, as we keep improving retail productivity, you keep getting that leverage. It won't be dramatic, but there will be continuous improvements that happen in that. So, you should expect some basis point improvements as you go along. Apart from that, overall business growth itself gives some leverage across overall fixed costs, and that should continu e. So, have we peaked out? No, not yet. But can you expect dramatic changes in margin profi

le? Not really.
Kunal Bhatia : Okay. So, but start of this year, have you seen inflation kicking in? So, maybe say the initial quarters would have a difficulty in terms of maintaining the same level of margins?
Vishak Kumar : Simple answer, not yet, but we will have to see how it plays out. Some of these cost impacts, like I was explaining to Abhijeet , have a lag effect. So, we will have to see how it plays out and responds suitably. So, yes, we will have to watch this carefully next few months as there is potential of crude oil and all of that. We will have to just watch it closely, Kunal.
Kunal Bhatia: Okay. Thank you, sir.
Vishak Kumar : Thanks, Kunal.
Moderator: Thank you. Next question is from Devanshu Bansal from Emkay Global Financial Services Limited. Please go ahead.
Devanshu Bansal: Hi Vishak. Thanks for taking my question. Vishak, I wanted to understand among the four channels of the Lifestyle segment, the other channel has picked up strongly in this quarter, right? So, we were at a run rate of about INR 65 crores to INR 70 crores. This time around it is closer to INR 120 crore , INR 130 crores. So, what has driven this uplift? And I am asking this

specifically because I don't have an idea as in what kind of business we do in that particular segment.
Vishak Kumar : So, there are two, three things. Largely, it is the contract manufacturing, which I was just explaining to Abhijeet. So, that is one part of it. And Devanshu, we built additional manufacturing capacity. And hence we had the ability to grow this business larger. There's also institutional business and a few other things which have also had a good run in the last quarter.
Okay.

Devanshu Bansal: But like going back to previous participant ’s question as well, the subsidiary profitability is actually 40 crores in this quarter, right? So, is this related to this B2B business that you have done, particular to this quarter?
Vishak Kumar: Dharmendra, you want to take that?
Dharmendra Lodha: These are one -time PLI benefits which we have accounted in the financials. Our subsid iary is eligible for the PLI and we have achieved those targets. So, that's a one -time benefit.
Devanshu Bansal: What is the amount? And is it recognized in the Lifestyle segment?
Vishak Kumar : So, Devanshu, let me simplify this for you. So, we have created a new factory in Pulivendula . There was a PLI scheme. But if you look at the overall cost of goods sold from that factory over the four quarters, it averages itself. But some of that benefit would have come in Q4, about INR 20 crores would have come in Q4 from that.
Devanshu Bansal: Okay. So, in a way, your Lifestyle business margin needs to be adjusted for that, right? So, it is kind of a one -off.
Vishak Kumar : My request to you would be to look at Lifestyle margin over a four -quarter period , which would have expanded by about 20 basis points for the year. So, that would be a fair comparison, for a full year comparison, about 20 basis points is what we would have improved really by for the full year. That's the real apples -to-apples picture.
Devanshu Bansal: And Vishak, even on a full year basis, if we see, right, so your overall growth in the Lifestyle segment is in high single -digit, right 8% a nd if we compare it with some of the other mid - premium branded players, they are delivering about low double -digit kind of a growth, right? So, while you sort of attributed this to some preponements and postponements, but for a full year basis, I guess there has been some lag in terms of growth. Last quarter, you did mention that you are in a phase of network consolidation , which is impacting your growth. But going into the next year, when we will sort of accelerate our store expansion as well, can we expec t this segment to return to that low double -digit kind of a

growth profile? Is that a fair assumption?
Vishak Kumar : Yes, I think so, Devanshu. And just to give it a little more logic, if you look at last two quarters, we have been at double -digit growth in the Lifestyle business . It was H1 actually where some of the impact on e -com rationalization had happened. And that is what had impacted the full year even on e -com. So, if you look at full year for e -com, it's almost flat, even though the second half of the year on e -com was a very significant growth. So, last two quarters, if you see, it's been a double -digit journey. So, those fundamentals continue as we get into the new year as well.

Devanshu Bansal: Vishak , just one small feedback also. So, while in retail segment, we include stores for Lifestyle brand as well as factory outlets, right, in the retail revenue perspective. But when we disclose our store count, we only disclose the branded stores. We don't include the outlet stores in that. So, it becomes difficult to sort of analyze your performance. So, I parked this feedback to the IR team as well.
Vishak Kumar: Whatever granularity you want, we will share that with you. It's available fairly easily even in public domain, but we will share that with you. And any slice and dice that you want, Devansh u, we will share that with you.
Devanshu Bansal: Sure. Thank you so much.
Vishak Kumar : Thanks for this, Devansh u.
Moderator: Thank you. Next question is from the line of Avinash Karumanchi from Motilal Oswal Financial Services Limited. Please go ahead.
Avinash Karumanchi : Hi, sir. Good evening. So, my question is again on the store consolidation. Last year, we have seen a good amount of store consolidation. So, the first part is that the 8% LTL that we have delivered, can it be attributed to because of the store closures? And point #2 , are we done with the store closures or is this a continuous phenomenon going forward?
Vishak Kumar: Okay. First things first, I think 8% like -for-like is fairly built on fundamentals. Okay. To answer your second question, will we ever stop closing stores? I think it will be difficult because

locations do become irrelevant over a period of time. Okay. So, my sense is 3% to 5% store closures depending on different brands and different contexts. Would be a fair expectation. So, in a very good year, you close about 90 stores. In bad year, maybe you close more than that. So, to that extent, we di d more of the heavy lifting last year. So, this year should be in that sense relatively lesser closures. But will closures ever become zero? It won't. So, there will be some amount of closures.
Avinash Karumanchi : No, I understand that. I am only referring to the quantum of the closures. That's right.
Vishak Kumar: So, you are right. So, I think Avinash, to that extent, yes, the number of closures would be lesser this year. And hence the net expansion that you should see this year will also be stronger.
Avinash Karumanchi : Understood. So, the next question is regarding this 8% LTL growth. So, what exactly is driving this growth? I don't mean a specific breakup, but what are the three, four things that are helping you to achieve this kind of LTL growth?

Vishak Kumar: So, at one level, of course, there is overall market growth itself, and we are making the most of that. We have constantly pivoted to what kind of merchandise consumers want, product categories as trends have changed. And we have tried to make sure that we have given that to consumers. A lot of work around innovations in product categories. And I think this answer I would have to give by each brand, what is happening on each brand for growth. For example, let's say in Allen Solly, very strong growth on the women's lines as well. So, that is, again, somet

hing which is fueling. And there, I think we have only got started. There should be a lot more of momentum there. In Reebok, like I was explaining earlier to Shravan, I think there's a lot of opportunity on product innovations, a lot of category play that we are getting into more penetration around those that will drive L-to-L. I think our L-to-Ls, there's still a lot of opportunity for continuous improvement there. My sense is a 7% like -to-like over a steady state period is what we should project in this business.
Avinash Karumanchi: Understood, sir. And one last thing, a bookkeeping question. So, if I look at the rental costs that are above EBITDA, they are actually declined on a full year basis and also for the 4th Quarter . So, is this because of some accounting changes in the franchise partners or how should we look at it?
Vishak Kumar: Okay. Dharmendra , you want to take that?
Dharmendra Lodha: So, no, there's no accounting policy changes. Largely, it is an IndAS related impact. Yes. So, it's more fixed rental than variable rental.
Avinash Karumanchi: Okay. That is it from my side.
Moderator: Thank you. Next question is from the line of Tejash Shah from Avendus Spark Institutional Equities. Please go ahead.
Tejash Shah : Hi, Vishak. Thanks for the opportunity. Vishak, we are somewhere in the middle of the season for the quarter and there seems to be very broad -based consumption recovery, which is visible based on the results announced so far. Largely, everybody would have kind of shown acceleration . So, based on this, first, what's your read on the consumer sentiment as of now? And second, looking at the ensuing inflation, which will hit the P&L or which will hit the consumer also in coming two quarters if things don't improve where we are today on raw material front, what is your assessment that will there be a pricing power that will allow us to pass it on without hurting demand or there will be a challenge there? So, these are two broader questions.
Vishak Kumar: Tejash , these are million -dollar questions. Okay, all of us have to figure out how this will pan out. As a business, what we can do, Tejash , is to stay nimble, stay agile to opportunities and trends in market, stay tight on costs, work closely with vendor partners to be able to get the best of possible prices , etc. That's what we can do. There is lots of combinations of headwinds and

tailwinds that we will have to see how they will play out. So, I would only say this , for example, last year, May was a little subdued because of some of the external influences around Operation Sindoor and all of that. That is not there this year. But there are other aspects. So, we will have to see how much of the headwinds and tailwinds play out. As a business, what we can do is to stay agile, stay nimble, stay cost tight, etc., so that we are able to come out stronger through all of this.
Tejash Shah : Okay. And looking at the scenario where we are today, how would you plan for network expansion this year?
Vishak Kumar: So, I just said that to Avinash. I think network expansion should continue strong. And considering where we are as an overall network, I am expecting that overall store closures should also be lesser this year. So, the net expansion number should be stronger this year. So, far, I

would say the pipeline that we have got tells me that we should be all right this year on expansion. So, that momentum you would see panning out over the next few quarters. I think we should be decent on expansion.
Tejash Shah: Any number you can assign to?
Vishak Kumar: So, we have put a number. INR 250 crores to INR 300 crores is what we have said. Some of it also depends on when the malls actually open up and so on. But yes, that's the broad number that we would look at.
Tejash Shah : Okay. And in terms of p

ercentage, this would be what growth? I am just back -calculating.
Vishak Kumar: So, 3,300 -store network. If you add 300 stores, that's about 8% network. But you will have to see how much annualization you get out of that, because they won't be there for the full year. So, yes , you will have to see how much of that, when does it land. And then there are closures that you will have to subtract. So, that's the broad math that you will have to do Tejash .
Tejash Shah : Okay. And is it right to assume that this will be slightly back ended, considering where are we right now in terms of macro environment?
Vishak Kumar: No, I don't think the macro environment will impact the store expansion. Store expansion will still be a function of supply of real estate, and when it comes up, how quickly the built -to-suit properties happen, how quickly the malls happen. I don't think i t will be too much impacted by macro considerations.
Tejash Shah : Thanks. That's all from my side.
Vishak Kumar: Yes, thanks, Tejash .

Moderator: Thank you. Next question is from the line of Jignanshu Gor from Bernstein. Please go ahead.
Jignanshu Gor: Hi. Thank you for the opportunity. Just a quick question on the P&L structure. So, I understand on a full year basis ‘25 versus ‘26, right? While we have grown, we have plowed back a lot of that growth into probably marketing or into COGS, right? Because both the gross margins is down and other expenses have increased materially. What would you say is the shape of these marketing money that we are putting in, right? So, how do we figure out the margin expansion opportunity from here? Like is it a variable expense going forward or do we think that it's a fixed expense?
Vishak Kumar: I am not sure where you are reading this. If you look at our full year, our margins have expanded. If you look at it purely from Lifestyle perspective, margins have expanded by 20 basis points. If you look at it, of course, overall, the Emerging Business margin expansion actually has been much stronger. So, of course, we have continued to be advertising strong, but margins have actually expanded. So, I am not sure where you are picking the information from.
Jignanshu Gor: So, I am looking at the overall expense line on the consol P&L and specifically other expenses which have grown much ahead of revenue growth and trying to understand what that line item might include and what of it is variable or fixed to figure out the margin expansion opportunity ahead.
Vishak Kumar: So, even in that sheet, you are seeing margin growth only. So, I am still struggling to see that.
Jignanshu Gor: No, I think we can take this offline. Yes, we can take this offline. Happy to do that. Let me slip in my second question. On the capital allocation, I think you also reiterated it at the start of this call that given the strong cash flow generation from this business, we want it to be debt -free. But we have not paid off a lot of debt. Our net debt has gone down, but not as mu ch. Assuming we have used the cash for business growth. So, is there a view that we have on when do we want to sort of do this balancing act and how do we prioritize the allocation between growth versus reducing the debt?
Vishak Kumar: So, first things first, Jignanshu . I think our debts are fairly within norms as a business. Having said that, I think this will be a business which will continue to generate cash, even stronger cash flows over the years, and you should expect that. Even after investing into growth, we should be able to generate cash. We will continue to do whatever we need to for fueling growth. But as you know, our business is not as dependent on CAPEX for growth. We also have a lot of partner -driven expansion, etc., which will also continue. So, the simple answer is yes. Going ahead also, the

business will continue to deliver cash flow, in fact, stronger than current year . How much of net debt to retire, etc., some of those are calls you can take on whether it should be zero or not zero, etc. But fundamentally, this business will continue to generate decent cash flows.

Jignanshu Gor: And your priority is to use it for growth, right? Keep reinvesting as much as you can.

Vishak Kumar: Yes, but I am saying it's still a finite amount that I would require for growth. There will be still cash flow after that.
Jignanshu Gor: Fair enough. Thank you.
Moderator: Next question is from the line of Shreya Baheti from Anand Rathi Institutional Equity. Please go ahead.
Shreya Baheti: Hi, sir. Sir, I just wanted to know what is the net additions for Lifestyle brand for the full year FY26?
Vishak Kumar: Sir, I don't have it exactly, but my guess will be about 55 -60 store net additions.
Shreya Baheti: Okay. Thank you, sir.
Vishak Kumar: Thanks, Shreya.
Moderator: Thank you. Next question is from the line of Aditya Bansal from Motilal Oswal Financial Services Limited. Please go ahead.
Aditya Bansal: Yes, thanks for taking my question. Just wanted to understand the CAPEX in a bit more detail. You mentioned around INR 250 crores - INR 300 crores overall CAPEX . Last year, we had manufacturing CAPEX as well. And you are talking about somewhere around 300 store additions. Some of it will also be done by franchis ee. So, like, things are not adding up. So, can you just shed some more light on the CAPEX like, what all will it be?
Vishak Kumar: Yes. So, if you look at our CAPEX structure, largely there is about INR 50 crores – INR 60 crores of routine CAPEX , including repairs and stuff like that. Expansion would be a very significant stretch. Between expansion and renovations would be about INR 200-odd crores, right? Then there is CAPEX around maintenance. There is still some manufacturing CAPEX es, which you would incur even when you are not creating new factories. There will be some line expansion, some upgradation, some technology enhancements, and so on that would be there . So, to answer your question very directly and simply, out of, say, INR 300 crores of CAPEX , about INR 200 crores would go into retail expansion. There's also a fair amount of shop ‘n’ shop expansions and so on also which happen, which will contribute to some of the balance number.
Aditya Bansal: Sure. Thanks a lot for this. The other one was on Van Heusen Innerwear . So, if I am correct, you mentioned given by somewhere around 4Q FY27. So, can you just give some sense in terms of the scale of that and current losses that you may have in that business?

Vishak Kumar: Okay. So, Aditya, I think it was a good year for Van Heusen Innerwear , in a way, and losses have come down. I did say that I hope to have at least one profitable quarter in FY27. I do hope to be able to deliver on that. Of course, it will be the best quarter of the year, which will be a positive quarter, and then we will have to work towards making sure that every quarter works like that. So, I think it's about maybe six quarters away for us to be able to then say that it's steady state every quarter profitable, but at least one profitable quarter this year is what we are targeting.
Aditya Bansal: Sure. And in terms of revenue any numbers in current size?
Vishak Kumar: You are talking about Innerwear ?
Aditya Bansal: Yes.
Vishak Kumar: So, it's a double -digit growth number, Aditya, aided largely by a lot of retail L-to-L, which are very strong, but we have also been able to grow across other channels as well. So, it has been, in that sense, a healthy growth number as well, while a lot of focus around inventory reduction, cost reduction, etc., also continues

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Aditya Bansal: Thank you and all the best.
Moderator: Thank you. Next question is from the line of Ankit Kedia from PhillipCapital India. Please go ahead.
Ankit Kedia: So, just double -clicking on the CAPEX number again once, you just mentioned INR 200 crores for 300 -odd stores. Historically, only 20 %-25% of the stores are COCO stores. So, typically, for 60 stores, INR 200 crores number and 1,500 average square feet size seems to be on the higher side.
Vishak Kumar: So, half of it is renovations and project stretch, etc. So, I was just explaining to Aditya before this that about 200 is in to retail. Not all of it goes into expansion. A typical store needs to be refurbished at least once in five to six years and some of it is part renovation , some of it is full renovations. That's part of staying relevant with consumers all the time. We continue to do that. So, that is how the maps will add up for you, Ankit.
Ankit Kedia : So, today, how many of our stores are COCO stores for us where we do the CAPEX ?
Vishak Kumar: ~36-37% of network. So, say about 1, 200-1,250 stores would be COCO stores, Ankit.
Ankit Kedia : Understood. Our second question is on the PLI scheme. The INR 20 crores which we got, is it annual number for how many years I know it's linked to production. But typically, how will this

number flow because that is straight to EBITDA . So, is the number on an increasing trajectory for next two, three quarters, years?
Vishak Kumar: Ankit, let me explain this. So, first things first, it was a one -off. Okay. You don't get this again and again. Having said that, does it , hence , mean that next few quarters will have a negative impact? It won't. Because we took the hard knocks in the previous quarter. Because when you are setting up a new factory, you incur a lot of cost s before the factory comes to full efficiencies. So, we took the hard knocks of that in the early quarters. We got, in a way, financially compensated for that with the PLI scheme. So, to that extent, it is broadly even -stevens, while quarter -to-quarter might have changed. Going ahead, there won't be a PLI scheme tha t you will get. But going ahead, your efficiency is also already improved and hence, that will anyway, per piece cost will remain similar to previous year.
Ankit Kedia : Understood. And my last question is again, on stores expansion which brand do you see, while you have called out in earlier con calls, every brand has a lot of scope to expand. But in next two years, where do you think bulk of the expansion will happen?
Vishak Kumar: Look, I think the easiest answer is very strong whitespaces exist in Reebok because we have a lot of catching up to do. Okay. That's the part of the business where we have the number of stores and hence that. Other than that , our SBUs all of them have very aggressive ambitions. And they drive their own white spaces , and their own expansions , etc. And at different points of time, different brands have greater or lesser attractions. So, I wouldn't play favorites here in that sense. Each of the brands has its own runway for growth and very hard we would drive that Ankit .
Ankit Kedia : Thank you so much and all the rest.
Vishak Kumar: Thanks, Ankit.
Moderator: Thank you. Next question is from the line of Rohan Kampani from JM Financial. Please go ahead.
Rohan Kampani: Hi, thank you for taking my question. So, my first question is on Reebok. I wanted to understand how sustainable is the current growth trajectory given that most brands in the industry are witnessing a rebound in demand and growth , how much of Reebok's performance is driven by broader industry recovery versus any brand -specific factors?
Vishak Kumar: So, Rohan, if you look at steady state or at least last one year. Of course, first of all, brand has been on a very strong

growth wicket in the last three years. Since we have taken over the brand three years back, it's almost doubled in size. But like I was telling Ankit earlier, we have a lot of catching up to do. So, we should, in that sense, hold ourselves to a higher standard than overall industry growth. So, we will hopefully grow faster than that. If you look at also retail like -for-

like, we have still had a double -digit like -to-like over the year also. So, steady like -to-like, double -digit has been Reebok's performance. My sense is that also has juice and we will continue to grow on strong like -for-likes while we also expand the network across all the white spaces that we have identified. My sense is that the pipeline of product innovation is also fairly strong on Reebok. So, that should also fuel further growth. We have also created a model which goes into relatively smaller towns an d that also should give us juice for growth. So, I think it should be a fairly aggressive growth trajectory on Reebok Rohan in times to come.
Rohan Kampani: Okay, thank you. That was very helpful. And on the second bit on the valuation part, you guys alluded to Q4 -FY27 breakeven. And I wanted to understand what are the levers you are taking to reach that and also any general industry trends or something related to demand or competitive intensity. If you can share your thoughts, sir.
Vishak Kumar: So, here's what I would say, Rohan. I think for us, we have a lot of catching up to do. And in that sense, we have to set our own growth ambitions here regardless of how the industry grows. A lot of our improvements have come by significant improvements in space productivity, retail productivity, per -door productivity, and so on, which is fueling growth. We have also made significant gains across e -commerce and department stores beyond the usual wholesale trade that we are into. We have also i mproved the health of our overall inventory, and that should help us in times ahead. So, my sense is that this momentum of continuous improvement should continue on Van Heusen Innerwear . Q3 might be a better shot at breakeven, and hopefully we will do that. But it might still mean a slightly negative Q4 before we scale up again and become a steady -state profitable business.
Rohan Kampani: Okay. Thank you so much. All the best.
Vishak Kumar: Thanks, Rohan.
Moderator: Thank you. Next question is from the line of Niharika Karnani from CapGrow Capital Advisors LLP. Please go ahead.
Niharika Karnani: My question is on the Emerging Business segment. So, last couple of quarters were good in

terms of revenue growth. And when we compare YoY EBITDA margins, so there has been improvement of around 370, which is the number. So, what led to this growth? And secondly, what margins can we expect from this business given Lifestyle business margins would remain stable? So, is it fair to believe that Emerging Business is margin?

Vishak Kumar: Niharika , I will still attempt it. Let me broadly understand your question and try and respond to it. You are saying we have done well in Emerging Business . What made it happen and how will it go forward? So, I think look at the three big segments within Emerging Business . Reebok, like I explained, has grown significantly both on Like -for-Like and overall network and has been

continuing in its profitable journey. As Reebok keeps improving its share, the overall Emerging Business health also on EBITDA profile also keeps improving. Van Heusen Innerwear has cut down losses and it's well on its path to profitability. So, that also helps. And then, of course, there is American Eagle business, which is a nice steady state business that we have got, which is also fine. So, from an overall point of view, hence, the sh

ape of this business should keep continuously improving. There's also a lot of growth levers. And this is the part of business where we want to have even more aggressive growth objectives. And I hope, Niharika, that we are able to drive that. That's what I could make out of your question, Niharika.

Niharika Karnani: Sure. Just one follow -up here. Any guidance on Emerging Business 's margin profile?

Vishak Kumar: Yes. So, like I said, I think you will have to look at it. While you might be seeing a composite of different segments within this, individually, all of them will contribute to a continuous improvement. So, if you look at it from almost breakeven last year on Emerging Business EBITDA, we were able to get to a nearly 4% Emerging Business EBITDA. This number should keep improving over the quarters ahead, Niharika.

Niharika Karnani: Understood. Understood. Thank you.

Vishak Kumar: All right. Thanks, Niharika.

Moderator: We will take that as the last question for today.

Vishak Kumar: Thank you to the Moderator and thanks to all the participants. Thank you very much for joining in.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of the Management , we thank all participants for joining us. In case of any further queries, you may please get in touch with Mr. Amit Dwivedi . You may now disconnect your line. Thank you.